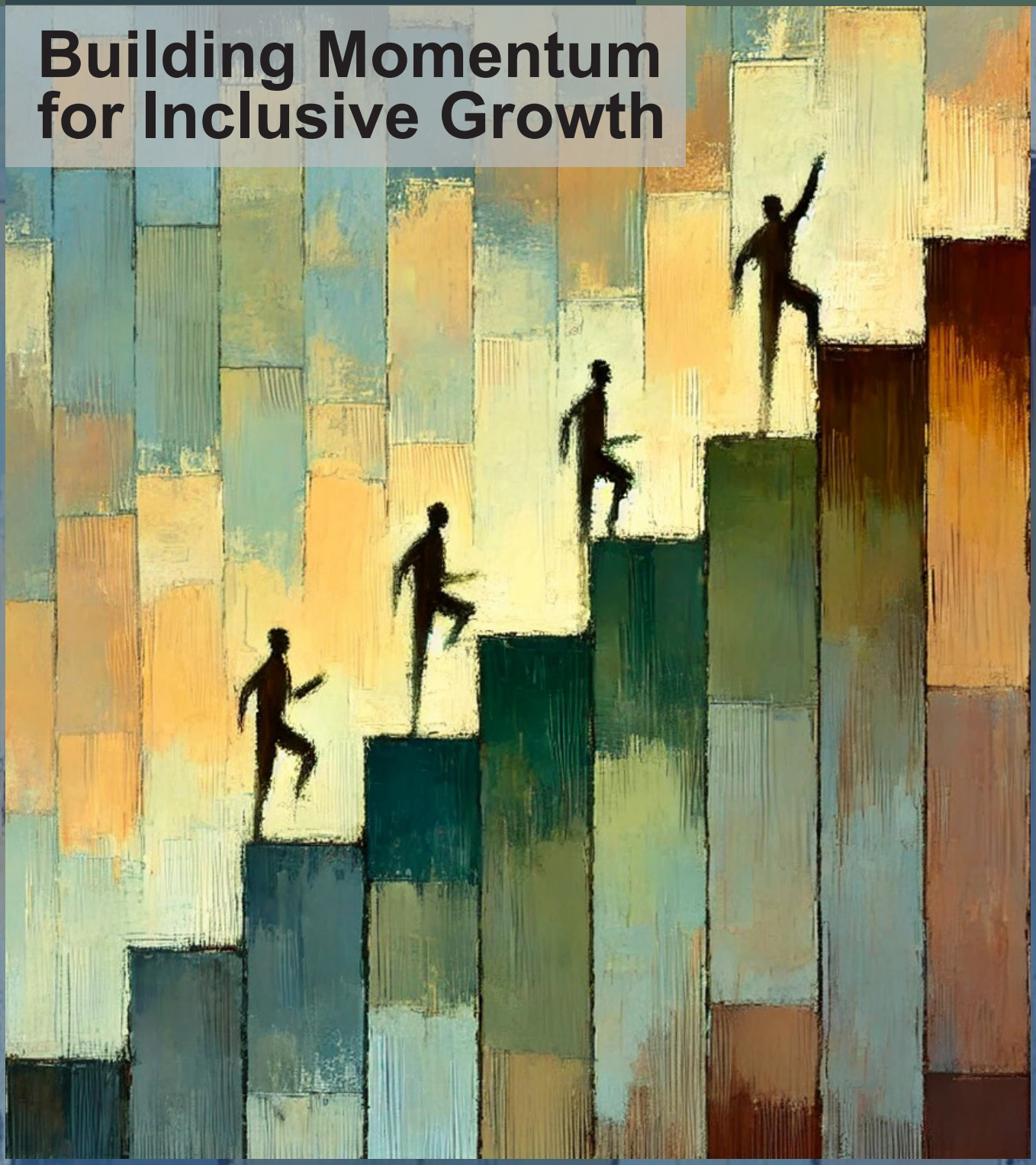
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NIGERIA DEVELOPMENT UPDATE | MAY 2025

Building Momentum for Inclusive Growth



THE WORLD BANK

Nigeria Development Update
May 2025

Building momentum for inclusive growth

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Cover photo is AI generated. It aims to depict a story of building momentum

Abbreviations and Acronyms

BDC	Bureau De Change
BHCPF	Basic Healthcare Provision Fund
BIRs	Budget Implementation Report
BPS	Basis Points
BVN	Bank Verification Number
CAB	Current Account Balance
CAPEX	Capital Expenditure
CAR	Capital Adequacy Ratio
CBN	Central Bank of Nigeria
CDF	Capital Development Fund
CET	Common External Tariffs
CGCs	Credit Guarantee Companies
CPI	Consumer Price Index
CRF	Consolidated Revenue Fund
CRR	Cash Reserve Ratio
DFIs	Development Finance Institutions
DFS	Digital Financial Services
ECA	Excess Crude Account
ECOWAS	Economic Community of West African States
EFEMS	Electronic Foreign Exchange Matching System
EMDEs	Emerging Market and Developing Economies
ETMs	Energy Transition Minerals
FAAC	Federal Account Allocation Committee
FCT	Federal Capital Territory
FDI	Foreign Direct Investment
FGN	Federal Government of Nigeria
FIRS	Federal Inland Revenue Service
FPI	Foreign Portfolio Investment
FX	Foreign Exchange
GDP	Gross Domestic Product
GOEs	Government Owned Enterprises
ICCPC	Independent Corrupt Practices and Other related Offences Commission
ICT	Information and Communication Technology
LDR	Loan-to-Deposit Ratio
mbpd	Million barrels per day
MDAs	Ministries, Departments, and Agencies
MFBs	Microfinance Bank

MPR	Monetary Policy Rates
MSMEs	Micro, Small and Medium Enterprises
MTEF-FSP	Medium Term Expenditure Framework and Fiscal Strategy Paper
NAICOM	National Insurance Commission
NBS	National Bureau of Statistics
NCC	Nigerian Communications Commission
NCS	Nigeria Customs Service
NDIC	Nigeria Deposit Insurance Corporation
NDU	Nigeria Development Update
NEDC	North-East Development Commission
NGN	Nigerian Naira
NGX	Nigerian Exchange Group
NMDPRA	Nigerian Midstream and Downstream Petroleum Regulatory Authority
NPLs	Non-Performing Loans
NSW	National Single Window
NUPRC	Nigerian Upstream Petroleum Regulatory Commission
OMOs	Open Market Operations
OPEC	Organization of the Petroleum Exporting Countries
PENCOM	National Pension Commission
PFM	Public Financial Management
PMS	Premium Motor Spirit
PPG	Public and Publicly Guaranteed Debt
SDF	Standing Deposit Facility
SEC	Securities and Exchange Commission
SLF	Standing Lending Facility
UBEC	Universal Basic Education Commission
VAT	Value Added Tax
YoY	Year-on-Year

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Overview

Since the last edition of the Nigeria Development Update (NDU) in October 2024, economic developments in Nigeria have been broadly positive, helped by the government staying the course in maintaining an appropriate macroeconomic policy mix. Now, the challenge is to consolidate macroeconomic stability and ignite inclusive growth through deeper, wider structural reforms.

Part 1 of the NDU provides a summary of recent economic developments in Nigeria and updates the outlook through 2027.

Growth has increased. Real GDP increased by 4.6 percent year-on-year in Q4 2024, pushing growth for the full year 2024 to 3.4 percent, the highest since 2014 (excluding the 2021-2022 COVID-19 rebound). The economic acceleration was on the back of a continued recovery in the oil and gas sector, and, especially, strong growth in services, notably information and communication technology (ICT) and finance. Agricultural sector growth was weak at only 1.2 percent in 2024, held back by high input costs and insecurity. Real GDP growth is expected to be mildly higher in 2025 at 3.7 percent, 1.6 percent in per capita terms.

Inflation has remained high and sticky, and the Central Bank of Nigeria (CBN) has kept monetary policy appropriately tight in response. Entrenched inflationary expectations after a prolonged period of high inflation and inflation inertia are apparent[1]. Gauging inflation dynamics in early 2025 is difficult, given the consumer price index (CPI) rebasing, but price pressures remain high. The last Monetary Policy Committee meeting of the CBN, in February 2025, appropriately kept the monetary policy stance unchanged to help combat price increases. Inflation is expected to fall to an annual average of 22.1 percent in 2025, as a sustained tight stance firmly establishes monetary policy credibility and dampens inflationary expectations.

Recent reforms have also helped to consolidate the foreign exchange (FX) market under a market-reflective, stabler naira, as well as to strengthen Nigeria's external position. FX market transparency was helped by the adoption in December 2024 of a new trading system in the official market, advancing the recent policy overhaul. Nigeria's external position has strengthened, as the higher exchange rate compressed imports and boosted foreign portfolio investment (FPI). The current account surplus surged by 185 percent to US$17.2 billion in 2024 (9.2 percent of GDP), and the surplus is expected to be maintained in the medium term, depending on the future course of global oil prices. Gross official reserves fell from their recent peak of US$40.9 billion in December 2024, to US$37.9 billion at end-April 2025, partly due to the CBN exiting legacy FX liability positions. Yet, reserves remain significantly higher than the recent low in May 2024 of US$32.5 billion. Importantly, the disclosure of the long-awaited net external reserves position, at US$23.1 billion in end-2024, up from US$4 billion a year earlier, should boost confidence on Nigeria's external liquidity.

Nigeria's consolidated fiscal position improved in 2024, driven by surging revenues that largely benefited subnational governments. At the level of the Federation (i.e., consolidated government, including the Federal Government of Nigeria [FGN], Federal Capital Territory [FCT], States and Local Governments), the fiscal deficit shrank from 5.4 percent of GDP in 2023 to 3.0 percent of GDP in 2024. This significant improvement was driven by a sharp increase in revenues of the entire Federation, which rose from N16.8 trillion in 2023 (7.2 percent

1 *See Box 1.2 in the October 2024 NDU.*

of GDP) to an estimated N31.9 trillion in 2024 (11.5 percent of GDP). This surge followed the removal of the implicit FX subsidy, improved tax administration, and reforms that enhanced the transparency and accountability of parastatal revenue remittances. Nigeria's overall debt burden remains moderate, as the increase in public debt to about 53.2 percent of GDP in 2024—driven by FX revaluation effects—was counterbalanced by a continued improvement in the debt service-to-revenue ratio, which declined from 100 percent in 2022 to below 40 percent in 2024 due to the sharp rise in revenues.

The fiscal outlook remains cautiously optimistic but hinges on the necessary consolidation of recent advances. First, it is essential to ensure that the full revenue gains from the removal of the PMS subsidy—estimated at about 2.6 percent of GDP in 2024—are transferred to the Federation. Despite the subsidy being fully removed in October 2024, NNPCL started transferring the revenue gains to the Federation only in January 2025. Since then, it has been remitting only 50 percent of these gains, using the rest to offset past arrears (see Box 1.1). Resolving any remaining net arrears and channeling the full benefits of subsidy reform to the Federation is critical for sound fiscal management. Second, close monitoring of the 2025 budget implementation is essential, as it has overly ambitious revenue assumptions and may lead to a larger-than-anticipated fiscal deficit. The budget aims to boost capital spending, and this must be done sustainably, within the broader objective of fiscal consolidation to complement monetary policy and achieve an overall policy mix that maintains fiscal discipline and brings down inflation. Third, sustained efforts to enhance expenditure efficiency and transparency are crucial to maximizing development outcomes. This responsibility lies not only with the Federal Government, but especially with states, which now receive more revenue (N13.8 trillion in 2024) than the Federal Government (N12.3 trillion).

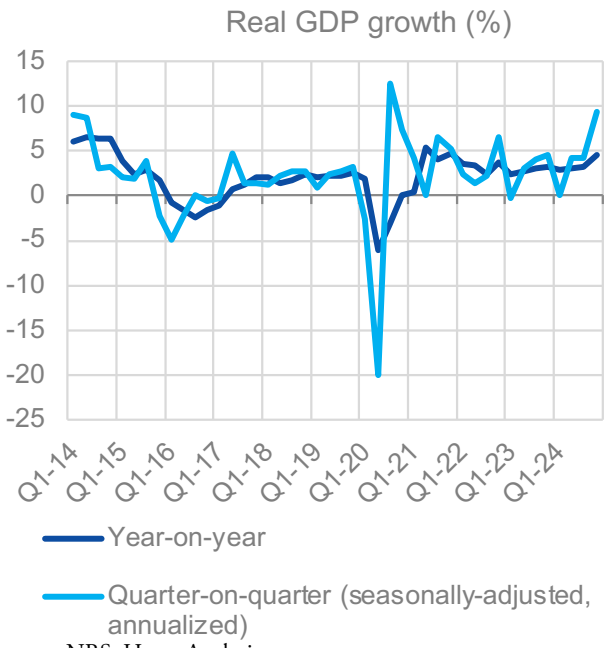
Risks to the outlook are largely tilted to the downside. Domestically, these include political considerations as the 2027 general elections draw closer and potential social tensions which could weaken reform impetus and jeopardize recent advances; unfavorable weather shocks; rising insecurity in farming areas; and setbacks in oil production. Globally, negative impacts of international trade and geopolitical shifts could also weigh on the outlook. Heightened uncertainty could tighten financial conditions as well as lower oil prices, and, accordingly, oil exports and revenues. This in turn could negatively affect fiscal and external balances. While the economy may cushion some of these impacts through a flexible naira acting as a shock absorber, sustained resilience will require more than macroeconomic stabilization alone. The government should not only stay the course on macroeconomic stabilization but also make progress on implementing a bold structural reform agenda. At the same time, addressing pressing social and humanitarian challenges remains critical to ensuring inclusive and sustainable growth.

Improving macroeconomic stability offers a launching pad to ignite inclusive growth. Overall, recent economic developments (Figure O.1), including the uptick in growth and improvements in Nigeria's fiscal and external positions, provide encouraging indications that the difficult macroeconomic reforms undertaken by the government since 2023 are starting to pay off. Nevertheless, the economy is yet to shift decisively into a higher gear, and it must generate more and better jobs at scale and reduce poverty.

Part 2 of this edition of the NDU assesses how to build on the progress being made towards macroeconomic stability. It describes the scale of Nigeria's inclusive growth challenge and offers reform suggestions which could help make 2025 a break-out year for Nigeria's economic performance.

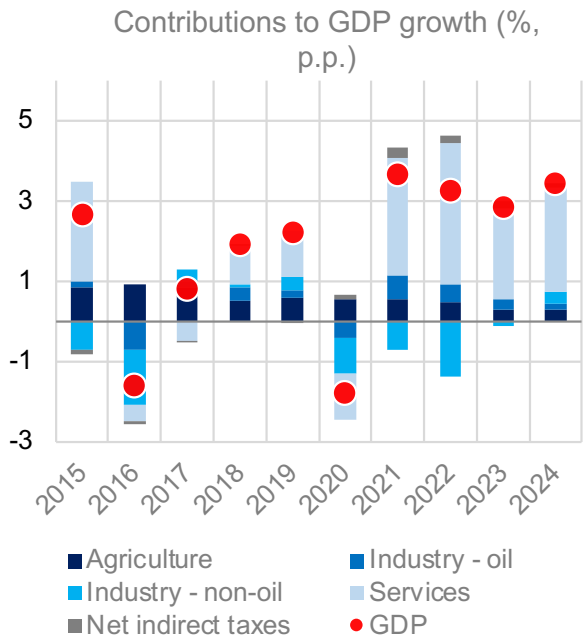
Figure O. 1. A snapshot of recent economic developments in Nigeria

A. Growth has risen to its fastest pace since 2014 (excluding the COVID-19 rebound) …



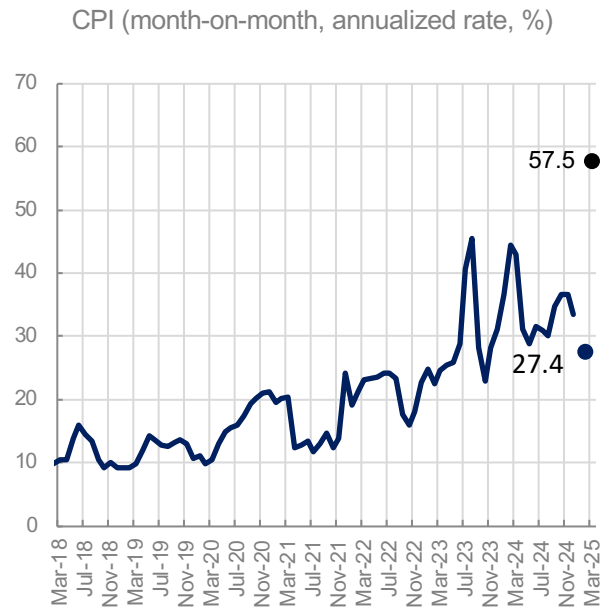
Sources: NBS; Haver Analytics

B. …on the back of strong growth in services and a recovery in the oil sector



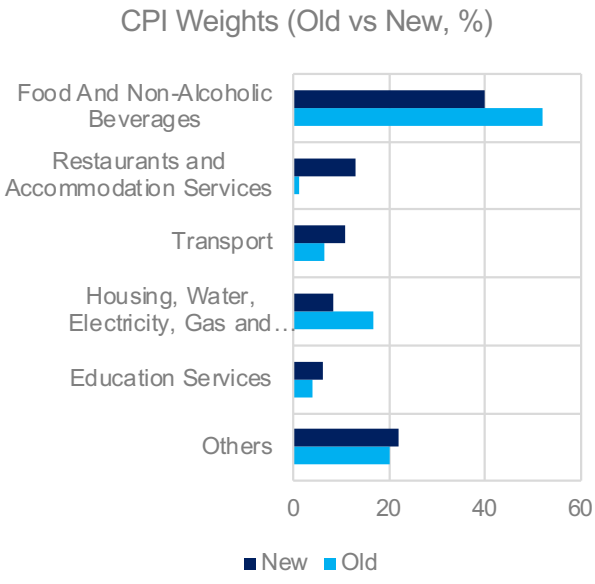
Notes: "Industry – oil" comprises crude petroleum and gas production (mining), and oil refining (manufacturing)
Source: NBS

C. However, inflation remains high and sticky…



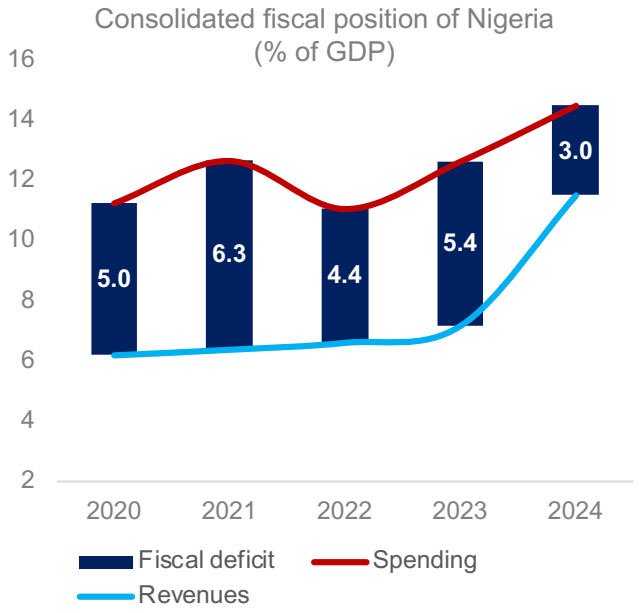
Sources: NBS

D. …although its dynamics are difficult to evaluate in early 2025 given CPI rebasing



Sources: NBS

E. The surge in revenues improved the consolidated fiscal position in 2024



Sources: OAGF, BIRs, DMO, World Bank.

F. The naira has been more stable, and gross foreign reserves rose substantially, from their recent low in May 2024



Sources: CBN

The pace of growth in Nigeria needs to accelerate further to meet its aspirations and deliver poverty reduction and shared prosperity. The economy would need to grow at a rate about five times higher than recently to achieve a US$1 trillion economy by 2030, the government's aspiration[2]. To move towards meeting this aspiration, the composition of growth needs to be rebalanced to those economic sectors and firms that are most productive, generate positive spillovers, and create jobs and opportunities at scale, especially for the poor and economically insecure. At present, the best-performing sectors of the economy, like finance and ICT, while important as drivers of growth, are not sources of mass employment, and the vast majority of Nigerians do not have yet the skills and opportunities to participate in them. At the same time, government spending has until recently also been skewed towards the better off segments of the population, including through the unsustainable, costly, and highly regressive PMS, implicit FX, and electricity subsidies, rather than towards enhancing access to and quality of public infrastructure and essential services. As a result, most Nigerians remain underemployed and trapped in low productivity, low earning, subsistence farming or informal sector work[3].

To boost inclusive growth, the government could consider a private-sector led, public sector-facilitated growth strategy.

With fiscal space created through recent macro-fiscal reforms, Nigeria now has a historic opportunity to improve the quality of spending and invest in human capital, social protection, and infrastructure. The allocation of public resources can begin to shift away from the past unsustainable, regressive, and wasteful pattern, and rather towards meeting Nigeria's large development needs, including the government playing its essential enabling role of providing basic public services

2 *Based on 2024 GDP as currently estimated and assuming no change in the exchange rate.*
3 *See Part 2 of the October 2024 edition of the NDU for more details on jobs and inclusion.*

directly or indirectly. In addition to redirecting spending to better tackle Nigeria's key development priorities (i.e., improve allocative efficiency), there is also scope to make each naira spent on achieving a given development objective more impactful (i.e., improve technical efficiency). To use scarce revenues efficiently, the country must resist politically driven budget padding and opaque allocations in favor of provision of quality education, health, and a robust, institutionalized social safety net. The recent rise in capital expenditure allocations can help to plug Nigeria's large infrastructure gaps, as long as it is coupled with overall fiscal discipline and sound public investment management practices.

The public sector should also be an enabler of private sector–led growth by fostering a conducive environment and setting the right incentives for business to grow. International experience suggests that the public sector cannot sustainably generate growth and jobs by itself. Nigeria is no exception, particularly since public resources remain constrained, and dramatically scaling up spending, even if this could be done efficiently by overcoming institutional capacity challenges, would counteract efforts to stabilize fiscal balances and reduce inflation. A more rewarding strategy is to position the public sector as an enabler for the private sector to invest, innovate, and grow the economy. Reforms to establish a conducive, neutral policy and regulatory framework can provide both the conditions and the impetus for business to thrive and generate jobs. These reforms would also reduce the space for entrenched incumbents to steer regulation and public spending to their own advantage, and allow the government to focus on development priorities. Spending on development priorities can initiate a virtuous cycle of creating the conditions for stronger private sector growth, enlarging the "revenue pie", which in turn enables sustained development spending.

Critical reforms can enable existing and new firms to thrive across the economy:

- **First, addressing major infrastructure gaps, such as in electricity and transportation is key,** as these are consistently cited by firms as major constraints. Large areas remain poorly connected to major economic centers via roads, inhibiting business growth, as well as regional and sectoral development. Access to a reliable electricity supply is similarly restricted. The government faces large and growing payments owing to power distribution companies for tariff shortfalls (N2.1 trillion as of end-2024), constituting a remaining highly regressive subsidy, benefiting mainly large consumers in a context where most households remain unconnected to the grid. This calls for comprehensive reform to break out of the current situation of expensive tariff shortfalls for the government, combined with poor service provision for electricity consumers, and low investment in the sector. To help close gaps in other hard infrastructure, such as roads, providing a unified, clear, and well-defined public private partnership (PPP) legal and regulatory framework could help increase private investments. Measures to strengthen public investment management (PIM) could also improve public spending efficiency on infrastructure.

- **Second, fostering healthy competition, market openness, and improving the business environment will spur business dynamism.** Many Nigerian markets lack contestability and display a high degree of concentration, weakening the competitive incentives to invest, grow, and generate more and better jobs. A stronger and independent competition authority (the Federal Competition and Consumer Protection Commission, FCCPC) could help ensure healthy competition in the market. Similarly, lifting barriers for foreign firms to operate in Nigeria, such as the requirement to incorporate a domestic business, would both foster competition and raise FX inflows and foreign direct investment (FDI), which is much lower than in peer countries. Further, a competitive exchange rate offers an opportunity for domestic firms to

export. Reducing tariffs and lifting import bans would not only help lower prices for Nigerians and alleviate the cost-of-living crisis but also allow firms to better access imported intermediate products, produce more, and plug into global value chains. Trade facilitation measures, including removal of mandatory pre-shipment inspections of exports, implementation of the National Single Window (NSW) and risk-based border management, as well as an enhanced National Quality Infrastructure (NQI) System, would have similar effects. Just as with exporting, domestic integration would allow firms to reach new markets, source inputs, and reap economies of scale. Beyond improving transport infrastructure, the removal of inter-state fees related to the movement of cargo and unnecessary, often illegal roadblocks could reduce the high cost of domestic trade and delays in inter-state movement of cargo. Finally, effective implementation of the Business Facilitation Act (2022), and similar efforts in the states, can improve the climate in which businesses operate.

- **Third, improving access to finance is essential for new and existing firms to grow and improve productivity.** Staying the course on macro-stabilizing policies will lower inflation, government financing needs, and credit costs, freeing up capital for the private sector. Recalibrating part of the monetary policy implementation framework can also free resources for private sector financing. Regulatory improvements, such as those to facilitate the activities of microfinance banks (MFBs), development finance institutions (DFIs), credit guarantee companies (CGCs), and finance companies (FCs) will help to enable credit to underserved segments like MSMEs. To enable access to long-term finance from capital markets, a review of the listing rules, requirements, timing and costs, as well as development of tailored financial instruments such as securitization of receivables, MSME debt funds and specialized bonds can also help.

- **Fourth, improving specific policies can help unleash the potential of important sectors.** Agriculture, with its vast productive potential and importance in providing livelihoods and opportunities, can help create jobs, address food insecurity, and diversify from oil. Improved policies could help, for example, ease market access to inputs like fertilizer, improve seed quality, foster partnership between farmer cooperatives and the private sector along value chains, and develop digital farmer and farm registries. The energy sector, facing a significant supply constraint, can benefit from regulatory changes to support investments in solar power and distributed renewable energy. Digital services can further boost sector productivity by setting standards for electronic transactions, digital records management, online consumer protection, and cross-border digital trade facilitation, along with improvements in broadband infrastructure markets regulations.

Table O.1., summarizes a suggested reform agenda, described in Part 2, for building on macroeconomic stabilization towards fast, inclusive growth.

Table O.1: A reform agenda for inclusive growth in Nigeria

GOAL	RATIONALE	REFORMS
1. Building an Empowering Public Sector		
1.1. Improve macro-fiscal policy and institutions		
Consolidate monetary, trade, and FX policy reforms	Inflation is still high, hurting especially the poor, and weighing on consumption and investment	• Maintain a tight monetary policy stance until a sustained disinflation path is achieved • Further strengthen the monetary policy implementation framework • Phase out import bans and align tariffs to ECOWAS common external tariffs, beginning with food products • Implement the AfCFTA agreement and its protocols
Improve public finance management	Revenues are still low, constraining development spending	• Ensure that revenue gains from the removal of the PMS subsidy flow to the Federation • Launch and implement the tax E-invoicing system • Launch and implement a centralized risk-based tax audit selection system • Improve excise tax administration by implementing a track and trace system • Adopt a new framework for health taxes which raises the rates and strengthens excise administration • Reform the VAT regime • Reduce the cost of collection of revenue agencies
	Fiscal flows and the overall fiscal position remain opaque	• Publish reconciled monthly fiscal reports and quarterly budget implementation reports on time • Clear the backlog of audited financial statements for 2021-2023 • Publish raw FAAC data and documents from all agencies • Improve transparency in accounting for oil revenues by conducting a forensic audit of NNPCL, and adopting standardized reporting to FAAC

GOAL	RATIONALE	REFORMS
	Weak cash management reduces transparency and raises fiscal risks	• Ensure that all debt proceeds are directly transferred to the Consolidated Revenue Fund • Complete TSA implementation to establish a consolidated daily view of the fiscal position
	Debt management would benefit from being more transparent and predictable	• Institutionalize annual borrowing plans • Institutionalize a Liability Management Operations Framework • Publish quarterly debt reports and yearly DSAs
1.2. Spending better on development priorities: human capital, social protection, and infrastructure		
Improve human capital	Low spending and efficiency gaps on human capital development hinder Nigerians to fully realize their capabilities and escape poverty traps	• Shift spending towards spending on basic education, primary health care, nutrition, and infrastructure, while ensuring that spending efficiently translates into improved outcomes
Improve social protection	With more than half of the population below the poverty line, poor and economically insecure households need assistance to regain economic agency and cope with shocks	• Rapidly roll out the already initiated cash transfers • Reallocate a share of recent revenue gains to targeted social assistance • Make up-to-date social registries with verified digital identification the platform for targeting pro-poor social programs
Improve infrastructure	Enhancing infrastructure access and quality needs more and better public investment	• Move towards eliminating the electricity subsidy, whilst protecting poor households, to make room for investments in the sector • Strengthen Public Investment Management

GOAL	RATIONALE	REFORMS
2. Enabling Private Sector Development		
2.1. Providing a conducive environment and the incentives for business to grow and create jobs		
Facilitate private investment in infrastructure	Private sector participation in infrastructure provision is key to overcome fiscal constraints and improve investment efficiency	• Adopt a unified PPP legal and regulatory framework • Develop enabling regulations for distributed and connected PV generation • Increase the mini-grid permit cap from 1 MW to 5 MW
Increase business dynamism and investment	An unlevel playing field and barriers to foreign firms contribute to high market concentration and limited contestability, weakening the incentives to invest and create jobs	• Lift requirement for foreign firms to incorporate as Nigerian legal entities when entering the country • Implement the Business Facilitation Act (2022) • Strengthen capacity and independence of the competition authority (FCCPC)
Expand foreign market access	Limited access to large product and input markets restricts businesses' competitiveness and growth	• Remove mandatory pre-shipment inspections on exports • Implement the National Single Window and risk-based border management • Enhance the National Quality Infrastructure system
Increase access to finance	Access to finance to the private sector is low and hinders investment, including for MSMEs	• Update the regulatory and supervisory guidelines for MFBs, DFIs, CGCs, and FCs • Review the rules, requirements, timing and costs for listing on the stock exchange • Develop tailored financial instruments such as securitization of receivables, MSME debt funds and specialized bonds

GOAL	RATIONALE	REFORMS
Increase access to finance	Access to finance to the private sector is low and hinders investment, including for MSMEs	• Update the regulatory and supervisory guidelines for MFBs, DFIs, CGCs, and FCs • Review the rules, requirements, timing and costs for listing on the stock exchange • Develop tailored financial instruments such as securitization of receivables, MSME debt funds and specialized bonds
2.2. Unleashing the potential of important sectors		
Modernize and Expand Agriculture	Agricultural productivity has declined, and the sector has not transitioned to off-farm agribusiness	• Ensure effective implementation of the reforms envisaged under the National Agricultural Seeds Council Act (2019) and the National Fertilizer Quality Control Act (2019) • Ensure that farmers, farmer organizations and the private sector are connected along value chains • Develop digital farmer and farm registries and increase certification capacity • Improve extension service delivery by scaling up both private sector and community driven models in addition to public sector extension • Foster stronger partnerships between commercial banks and MFBs with FinTech companies to reduce risks and transaction costs through data and tailored solutions • Following the cessation of the CBN's development finance interventions, provide guidance to the financial industry on market-led agricultural credit and encourage the adoption of customized lending instruments for farmers and processors • Expand availability of risk sharing mechanisms to derisk and advance lending to farmers and agri-businesses

GOAL	RATIONALE	REFORMS
Develop the digital services industry	Digital services could increase productivity and raise incomes, especially with a young, English-proficient population	• Adopt a National Digital Economy and E-governance Bill • Lower investments costs and facilitate green field telecom infrastructure deployments through implementation of the National Economic Council (NEC) commitment to a maximum of N145 per meter rights of way (Row) fees on State level • Strengthen the Nigerian Communications Act to require NCC to conduct market analysis and enforce regulatory safeguards towards dominant operators • Execute and monitor the Designation and Protection of CNII Order, designating telecom networks as critical national infrastructure



PART 1: Recent economic developments and outlook for Nigeria

Part 1 of this NDU reviews recent economic developments and outlook, focusing on the period since the last edition, in October 2024. Bold macroeconomic reforms have started to bear fruit. Output growth has picked up, improved monetary policy is contributing to contain inflation, foreign exchange (FX) reforms resulted in a market-reflective, more stable and competitive naira, and the revenue-driven fiscal consolidation has advanced considerably. Nevertheless, inflation remains high and sticky, economic growth is not yet strong and broad-based enough to substantially improve Nigerians' living standards, and, although the economic outlook is cautiously positive, risks are especially high. It is crucial to stay the course on macroeconomic reforms, consolidate recent advances, and further improve the macroeconomic policy framework. Part 2 discusses how to capitalize on the macroeconomic reforms to rebuild competitiveness, reignite growth, and promote inclusiveness.

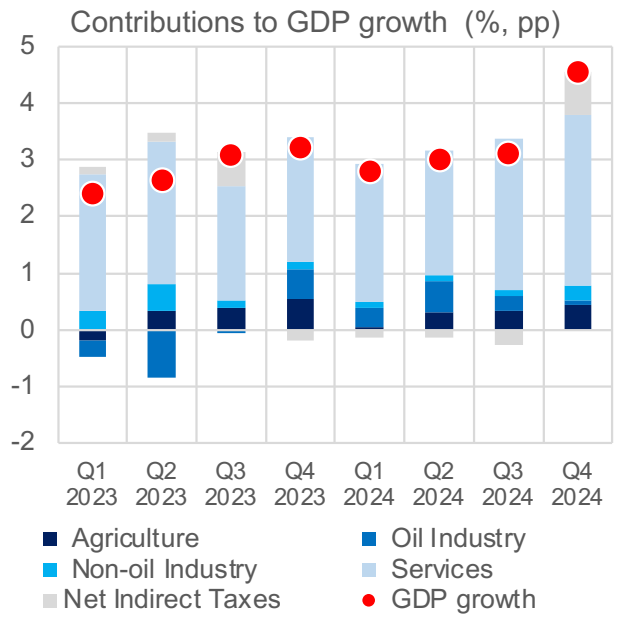
1.1 Economic growth has picked up, but remains moderate and uneven

Economic activity has picked up in 2024, driven by selected services and aided by a recovery in oil production. Output growth rose in Q4 2024 to 4.6 percent year-on-year (YoY), up from 3.2 in Q4 2023, bringing full-year 2024 growth to 3.4 percent, up from 2.9 percent in 2023. Net indirect taxes contributed 0.8 percentage points (pp) to the growth rate, mainly reflecting the full removal of the premium motor spirit (PMS, gasoline) subsidy in Q4 2024, but value added also grew faster than before. Growth continued to be led by services, notably financial and ICT services, and benefited from a significant recovery in the oil sector (Figure 1.1, Figure 1.2). Sectoral-specific performance is discussed below:

- Agriculture grew marginally, by 1.8 percent in Q4 2024 YoY, taking output growth for the full 2024 year to 1.2 percent, still significantly below its potential. The sector faces structural challenges such as high costs of imported inputs and machinery due to high tariffs and import bans (compounded in 2024 by the higher exchange rate), insecurity in production regions, limited access to finance, lack of market integration and storage infrastructure resulting in high spoilage rates, as well as extreme climate events, such as flooding.
- Non-oil industry growth was weak, at 1.4 percent in 2024, the same rate as in 2023. Structural constraints such as the high price and limited availability of imported inputs, limited access to credit, unreliable electricity, and high internal trade and transportation costs, continue to limit growth also in the manufacturing sector.
- The Crude Petroleum and Natural Gas industry grew for the first time since 2019, with output increasing by 5.5 percent in 2024. Production of crude oil and condensates averaged 1.6 million barrels per day (mbpd) in 2024, 7.4 percent higher than in 2023. In the first two months of 2025, production averaged 1.7mbpd, the highest in about four years (Figure 1.3).
- The service sector continued to be the main growth driver, expanding by 4.7 percent in 2024 and contributing to over half of GDP growth. Services activity accelerated in Q4 2024, growing by 5.4 percent YoY, up from 4.0 percent in Q4 2023. The sector continued to benefit from the expansion in financial and ICT services. The financial sector grew by 30.9 percent in 2024, aided by high interest rates and partly realized exchange rate revaluation. ICT continued to be supported by the strong voice and data services demand.

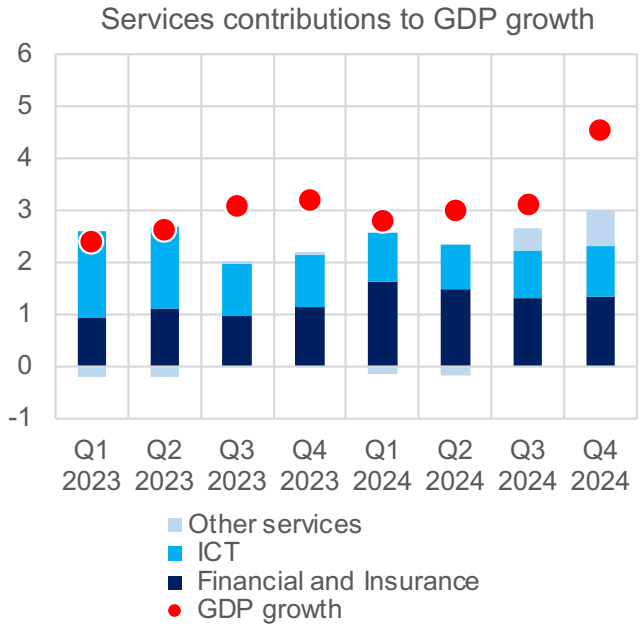
Moving into 2025, improved macroeconomic policies have supported an increase in business activity. Stanbic's purchasing managers index (PMI) rose from 46.9 in October 2024, which indicates a contraction, to 54.3 in March 2025, signaling an expansion in business activity. Similarly, CBN's

Figure 1.1: Economic activity has increased, especially in services…



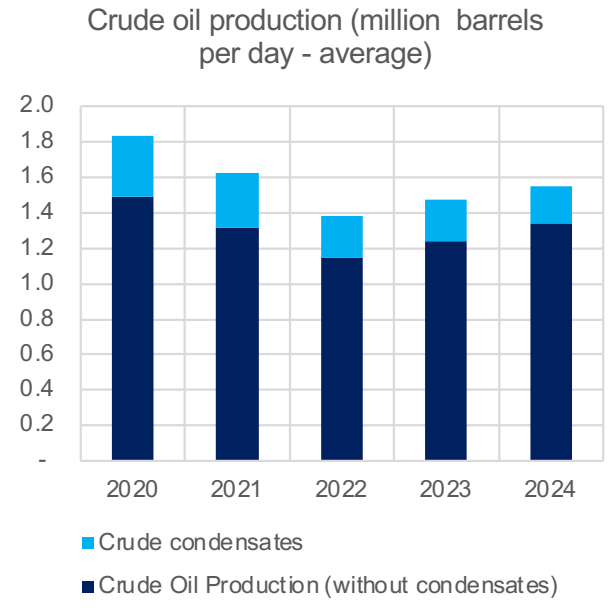
Notes: "Oil Industry" comprises crude petroleum and gas production, and oil refining.
Source: NBS

Figure 1.2 :… driven by the financial and ICT industries…



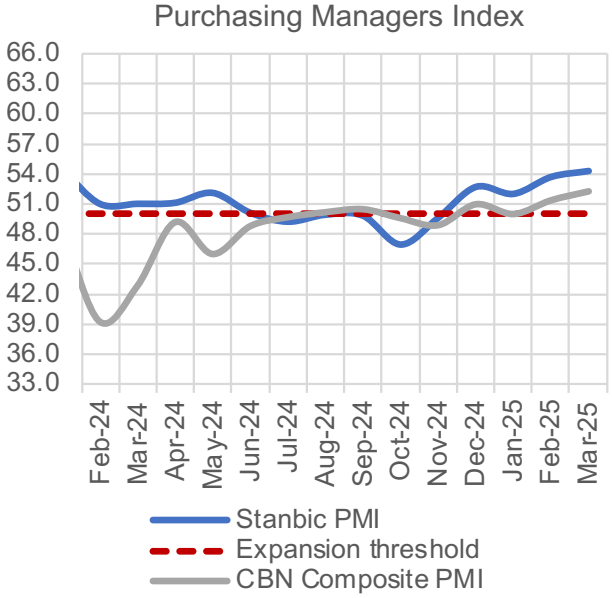
Sources: NBS

Figure 1.3 … and supported by an improvement in oil production



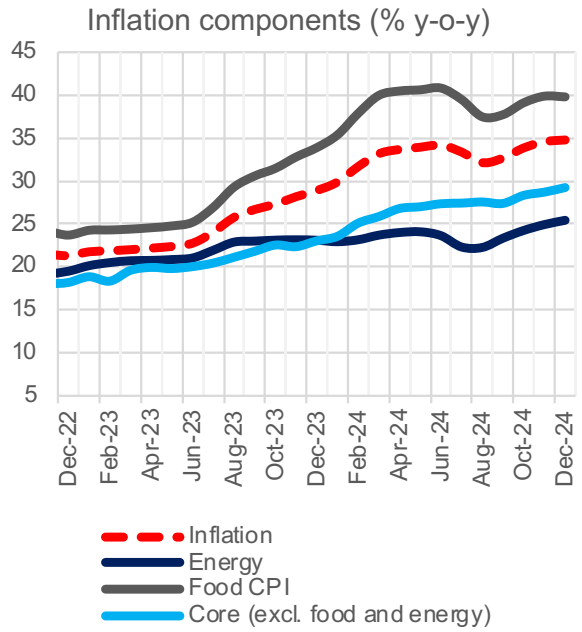
Sources: OPEC, NUPRC

Figure 1.4: High frequency business activity indicators point to an expansion in early 2025



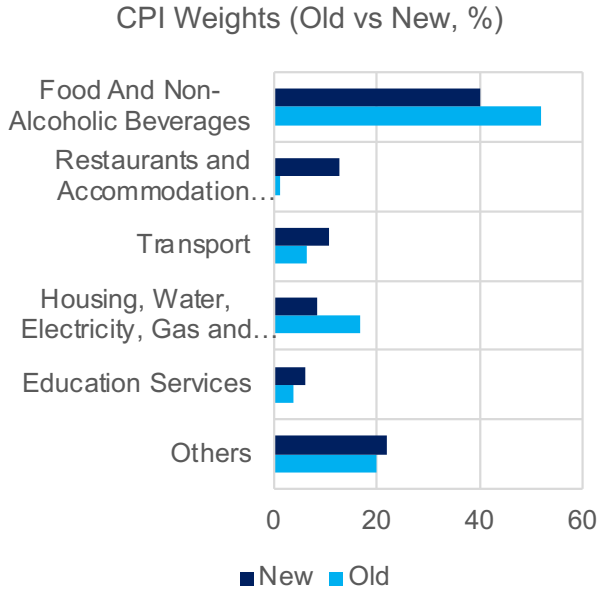
Sources: Stanbic, CBN
Note: A Purchasing Managers Index (PMI) value above 50 indicates economic expansion, and below 50 an economic contraction.

Figure 1.5: The inflation surge has started to recede after price corrections…



Sources: NBS

Figure 1.6: … but assessing inflation dynamics in early 2025 is complicated by the CPI rebasing



Sources: NBS
Others include: Recreation, Sport and Culture; Alcoholic Beverages, Tobacco, and Narcotics; Insurance and Financial Services; Furnishings, Household Equipment, and Routine Household Maintenance; Information and Communication; Personal Care, Social Protection, and Miscellaneous Goods and Services; Clothing and Footwear; Health

PMI indicates an increase in manufacturing activity, though pressured by higher input costs (Figure 1.4). Beyond short-term gains in business activity, spurring longer-term, sustained, and broad-based growth will require a step increase in private investment. This requires maintaining recent advances on macroeconomic stability, as well as deepening reforms to address structural constraints, including high trade barriers, weak competition forces, poor access to reliable electricity supply, insecurity, and low human capital levels (see Part 2).

1.2 The monetary policy stance has remained tight to rein in high, sticky inflation

Price pressures remain elevated. Previous unsustainable macroeconomic policies, coupled with external and internal shocks, stoked inflation from 2015. The needed policy improvements since mid-2023 added further, temporary pressure, as key administered prices had to be adjusted to their fundamentals, especially for PMS, FX, and (partially) electricity tariffs. Monetary policy tightening has helped to halt the price surge, but a sustained disinflation path is yet to be achieved (Figure 1.5). Entrenched inflationary expectations continue to exert upward pressure, combined with the passthrough of exchange rate variations[4]. Gauging inflation dynamics in early 2025 is complicated by the consumer price index (CPI) rebasing, which lowered the weight of domestically consumed goods, increased those of services, and changed the basket

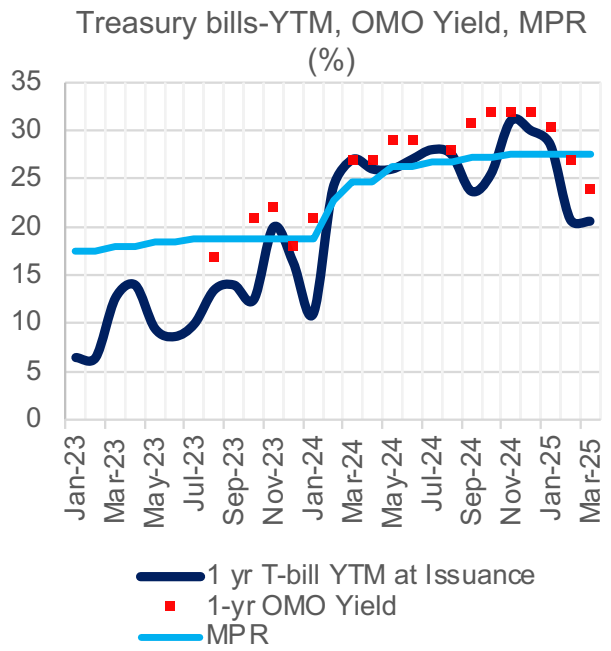
4 *See Box 1.2 in the October 2024 NDU.*

of tracked prices (Figure 1.6). Yet, price pressures remain high, and re-anchoring inflation expectations will demand persistent monetary policy efforts.

To regain price stability, the Central Bank of Nigeria has appropriately maintained a tight monetary policy stance. With the last increase of 25 basis points (bps) in November 2024, maintained in February 2025, the Monetary Policy Committee has hiked the monetary policy rate (MPR) by 875 bps, to 27.5 percent, since February 2024. It has also raised the Cash Reserve Ratio (CRR) to an exceptionally high 50 percent, increased the standing deposit facility (SDF) rate to MPR -100 bps, and raised the standing lending facility (SLF) rate to MPR +500 bps. Monetary policy implementation has been notably stronger, including through more intensive use of open market operations (OMOs) and an effective standing deposit facility (SDF). Tighter liquidity has started transmitting to market rates, which broadly regained their MPR anchor (Figure 1.7). CBN also took a further step towards greater transparency and market confidence by publishing its audited financial statements for 2024.

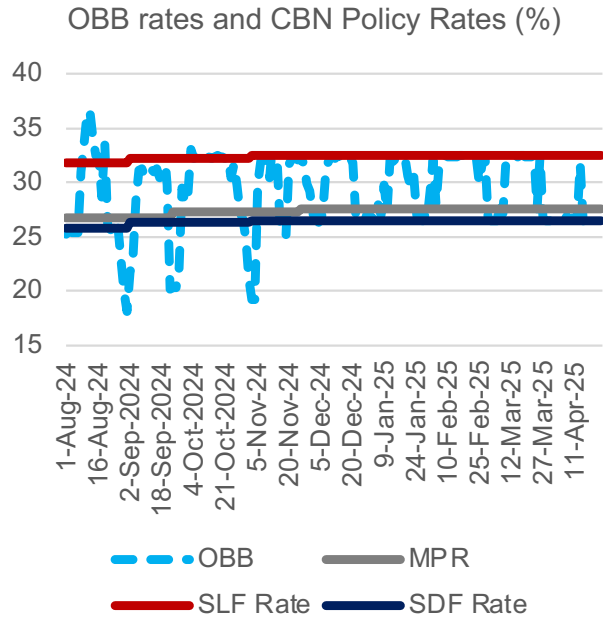
There is scope for further improvements in monetary policy transmission. Short-term interbank rates oscillate between the SDF and SLF (Figure 1.8), rather than being broadly stable around the MPR, reflecting liquidity management constraints. Shortening OMO maturities, as well as limiting them to domestic investors, could increase their effectiveness in mopping up naira liquidity in the short term. It could also help channel longer term lending to the private and public sectors, and eliminate the current segmentation of the yield curve between CBN and FGN securities of same tenors. Removing restrictions to access the SLF if engaged

Figure 1.7: Longer market rates are better anchored to the policy rate…



Sources: CBN

Figure 1.8: … but short-term rates are still not at MPR, given liquidity management constraints



Sources: CBN
Note: OBB = open buy back; SLF = standing lending facility; SDF= standing deposit facility; MPR = monetary policy rate.

in other transactions with CBN, and bringing its rate closer to the MPR, could also help to pin down short-term rates. Over time, as inflation falls, the use of the CRR as a monetary policy tool should be reassessed; using it as a prudential tool, instead, as in most countries, would allow greater financial intermediation and improve resource allocation (see section 1.5).

1.3 Economic growth, low inflation, and social protection are key to combatting the cost-of-living crisis

Successive years of rising inflation and sluggish growth have increased poverty and hardship levels. Since 2018/19, an additional 40 million people fell into poverty, and nearly half of all Nigerians (46 percent measured at the international poverty line of US$2.15 based on the 2017 PPP) are estimated to have been living in poverty in 2024. Labor incomes have not kept up with inflation, depleting the purchasing power of Nigerians. Poverty has deepened and broadened, especially among urban Nigerians.

Efforts to urgently provide support to the poorest and most economically at-risk households should be redoubled and expanded. To alleviate the added cost-of-living pressures, the government launched a temporary social assistance program with the goal of supporting 15 million households with time-bound cash transfers. However, roll-out has been slow, and should be accelerated. Only 5.6 million households have received at least one tranche of direct transfers, with the further expansion of the program still dependent on biometrically verifying at least one adult member of the household with their foundational digital identity.

Alongside macroeconomic reforms and emergency cash support, stronger growth and a robust social protection framework are essential to promote productive livelihoods. Leveraging early dividends from macroeconomic reforms, Nigeria's social protection system should be structurally strengthened, with a focus on providing the foundation for human capital investments, promoting economic inclusion, building resilience, and breaking the inter-generational cycle of poverty. This needs to be complemented by growth-oriented reforms and higher, more efficient investments in public services, especially in health, education, and infrastructure (see Part 2 of this NDU).

1.4 The external position has continued to improve, including through FX reforms

In parallel to monetary tightening, comprehensive reforms have improved the functioning of the FX market. Following a regulatory overhaul in early 2024, the FX market has progressively stabilized from mid-2024 with a generally negligible parallel market premium (Figure 1.9). Continuing FX reforms, the CBN adopted a new platform for interbank FX trading in December 2024 and published new operating guidelines. This improved market transparency and price discovery. After implementing a regulatory reform of the bureau de change operators (BDCs), the CBN has also allowed this last mile segment to access the FX interbank market through authorized dealers, although still on a temporary basis and at capped volumes. If well and permanently implemented, this could bridge the gap between the interbank and retail FX markets, typically associated with informal transactions.

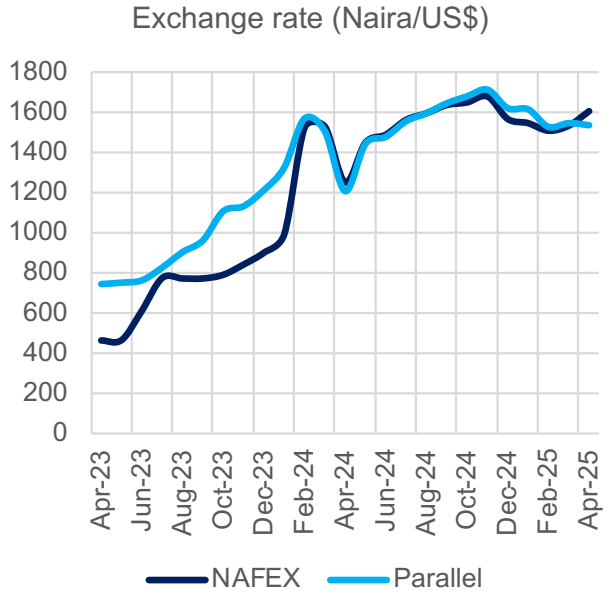
FX market turnover continues to be dominated by CBN and foreign portfolio investment flows. While turnover in the market increased with recent reforms, net inflows are still largely driven by CBN interventions - occasionally and purportedly to curb

excessive volatility - and foreign portfolio investment (FPI) - attracted by relatively high yields and potential revaluation gains (Figure 1.10). Although helpful as a source of FX, debt financing, and external adjustment, FPI flows are volatile, especially when they are short-term as is predominantly the case for Nigeria at present. The main historical sources of FX inflows to Nigeria, oil exports and remittances, need to substantially and consistently flow back into the official market for its full consolidation.

The exchange rate unification and depreciation of the naira contributed to a surge in the current account balance (CAB) in 2024 through import compression and higher remittances. The CAB increased by 185 percent to US$17.2 billion in 2024 (9.2 percent of GDP), as imports of both oil and non-oil goods imports compressed. While oil production increased, oil export revenues fell in US dollar terms, but non-oil exports increased by 25 percent, aided by a market-reflective, competitive exchange rate. Inward remittances, particularly through formal channels, increased and remained high at an estimated US$21 billion, supported by the FX market unification and other measures adopted by CBN to boost remittance inflows. The service trade and income balances remained negative in 2024.

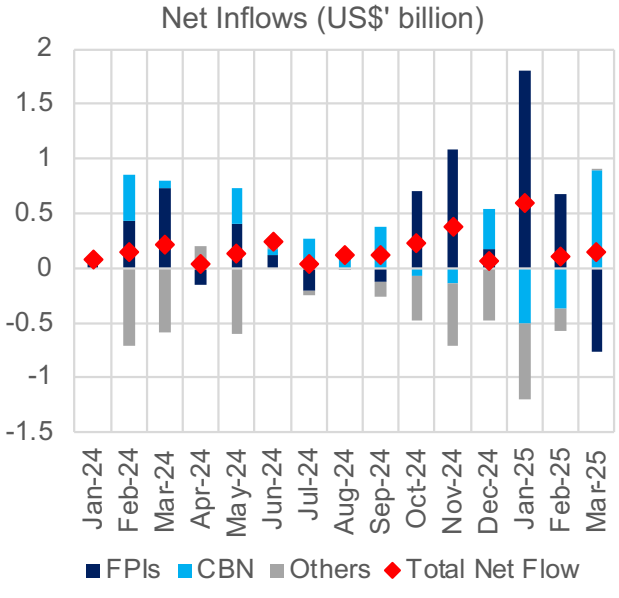
The surge in foreign portfolio investment (FPI) contributed to a stronger financial account position. Net FPI inflows grew by 110 percent in 2024 to US$13 billion in response to the market-reflective exchange rate and the higher domestic debt security and OMO yields (Figure 1.13). While there was a net inflow of foreign direct investment (FDI) in 2024, it remained extremely low, as in previous years, at less than 1 percent of GDP (Figure 1.13). Long term foreign investments in Nigerian corporations, through either equity or debt, continue to be hampered by structural constraints that affect the business environment. There was a net outflow in

Figure 1.9: FX reforms have eliminated the parallel premium, and the exchange rate has been more stable...



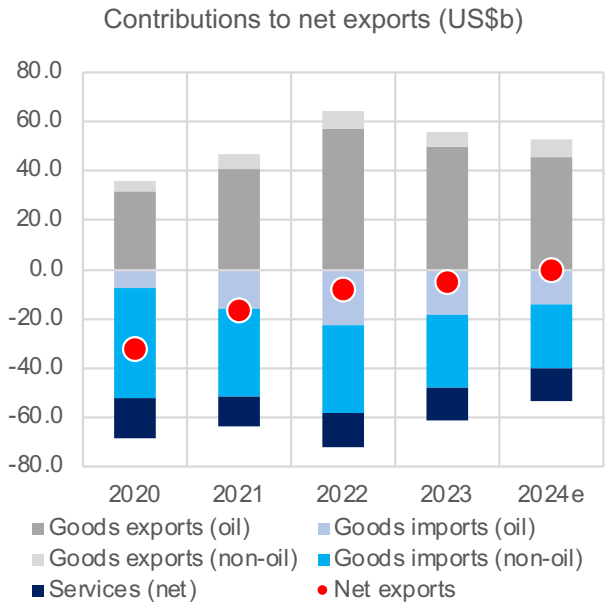
Sources: CBN, FMDQ, market surveys

Figure 1.10: ...but the FX market is still dependent on FPI and CBN flows



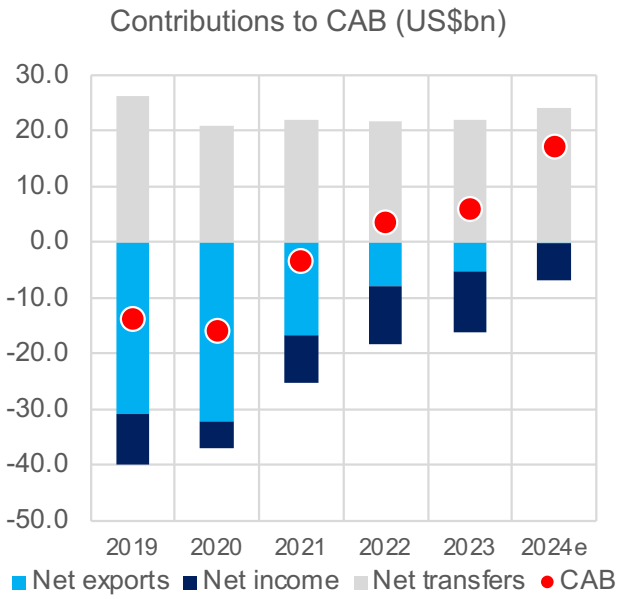
Sources: FMDQ.

Figure 1.11: Imports compressed in 2024…



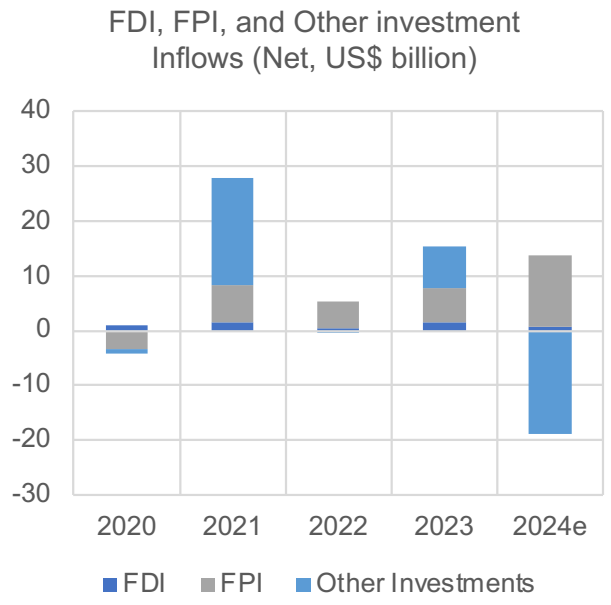
Sources: CBN; World Bank projections

Figure 1.12:…. contributing to a higher current account balance



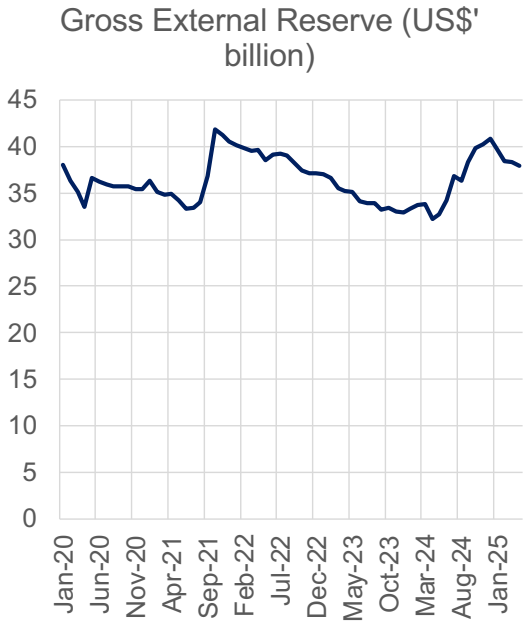
Sources: CBN; World Bank projections

Figure 1.13: FX and monetary reforms attracted higher FPI inflows



Sources: CBN, World Bank

Figure 1.14: FX reserves increased in 2024 along with CAB and FAB surpluses, though declining in 2025

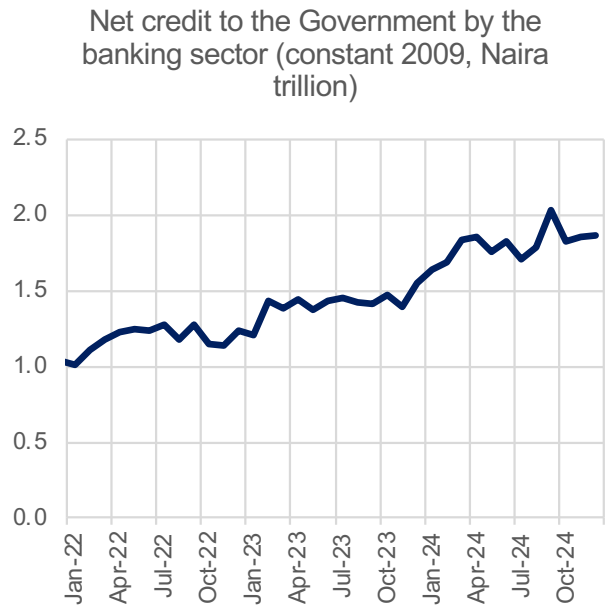


Sources: CBN

the "other investments" component of the financial account, driven by sizable repayments of foreign loan liabilities in 2024.

There was a large accretion to the gross external reserves in 2024, but they declined in early 2025, as CBN settled near-term FX liabilities. Gross reserves (30-day moving average) increased from US$32.9 billion (6 months of imports) at the end of 2023 to US$40.9 billion (11.4 months of imports) at the end of 2024, before subsequently declining to US$37.9 billion at end-April 2025. While the CBN has intermittently intervened in the FX market, it also continued to settle sizable FX liabilities. In April 2025, CBN published the net external reserves position for the first time since 2023, which stood at US$23.1 billion in end-2024, up from US$4.0 billion in end-2023. This positive step towards reserves transparency is expected to boost confidence in Nigeria's external liquidity.

Figure 1.15: Higher yields increased credit to the government by the banking sector …

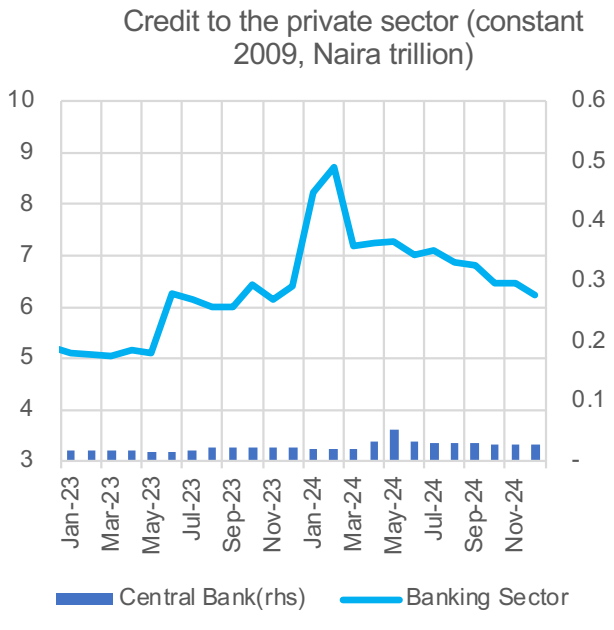


Sources: CBN

1.5 The financial sector remains shallow, albeit healthy

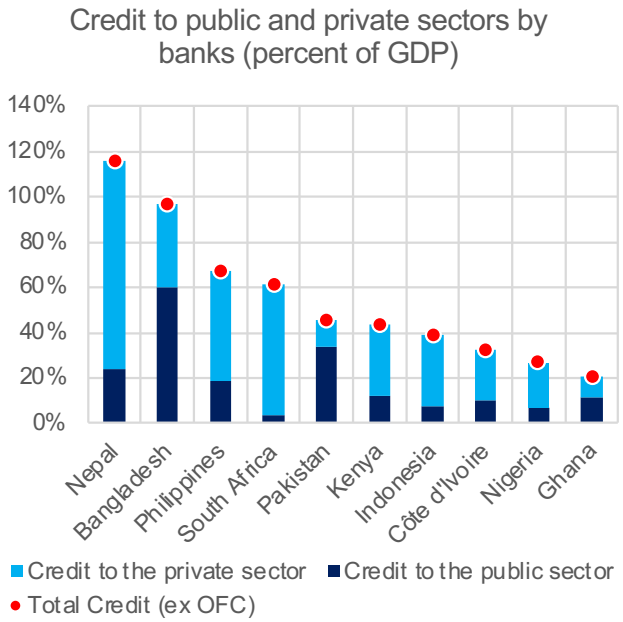
As government yields rose with the necessary macroeconomic reforms, credit to the public sector increased, unlike to the private sector (Figure 1.15and Figure 1.16). With the end of Ways and Means (W&M) advances and the monetary policy tightening, government financing started reflecting its true, higher costs. As a result, credit to the central government became more profitable for the banking sector (banks and other deposit taking institutions), increasing throughout 2024 to reach 19.8 percent YoY growth by December. Ways and Means (W&M) balance continued to fall, by 68 percent in real terms in 2024 (see section 1.6). Credit to the private sector by banks, in turn, although growing in early 2024, entered a downward trajectory as market rates rose, ending the year at similar levels as in 2023. Credit by the central bank to the private sector has settled

Figure 1.16: … while credit to the private sector reverted its early year growth in 2024



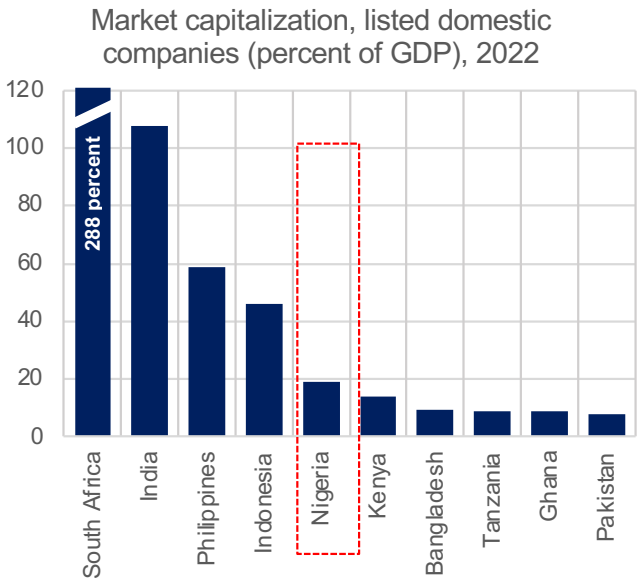
Sources: CBN

Figure 1.17: The credit market in Nigeria is still underdeveloped …



Sources: WDI

Figure 1.18: … and market capitalization is modest



Sources: WDI

at very low levels, reflecting the unwinding of the distortive direct credit allocation in 2020-2022, which reached almost 10 percent of total credit to private sector in mid-2022.

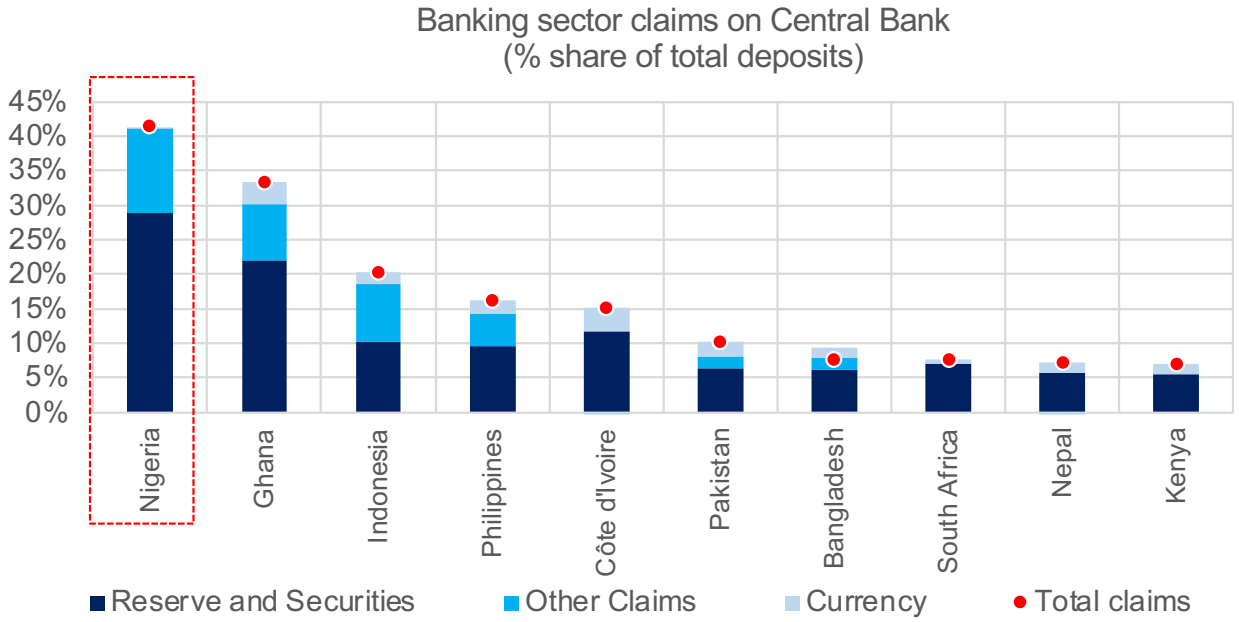
Despite recent improvements, the financial sector remains shallow. Adoption of digital financial services (DFS) has improved financial inclusion. The number of e-payment transactions and their value increased 14.9 and 17.6 percent, respectively, in H1 2024 YoY. Yet, banking sector credit to the public and private sector stood at 26.6 percent of GDP in 2024, one of the lowest among peers (Figure 1.17). Similarly, market capitalization on the Nigerian Exchange Group (NGX) is still modest compared to peers (Figure 1.18).

Beyond structural sector constraints, weaknesses in the monetary policy implementation framework also contribute to limit financial intermediation. Unlike in many countries, the CRR in Nigeria is not primarily used as a prudential tool but for liquidity control. Monetary policy tightening, then, has required exceptionally high CRR levels, limiting how much the banking sector can lend out to the economy. Out of total deposits, 27 percent is held at CBN in required reserves and another 12 percent in CBN securities, a much higher share than in peer countries (Figure 1.19)[5]. With a total of 41 percent of total deposits kept at CBN, public and private sectors compete from the same reduced pool of resources. Furthermore, required reserves are unremunerated, such that banks require higher spreads when lending to make up for the loss in revenue in reserves.

Although underdeveloped, the banking sector remains healthy. The ratio of non-performing loans (NPLs) to total loans increased slightly by 0.4 percentage points to 4.6 percent in Q3 2024 YoY but remains below the CBN's prudential benchmark

5 *Note that the Cash Reserve Ratio required of Deposit Money Banks is 50 percent and of Merchant Banks, 16 percent. Yet, this ratio is applied to a subset of total deposits.*

Figure 1.19: Exceptionally high CRR level reduces the pool of resources available for bank lending, limiting financial intermediation



Sources: CBN, IMF

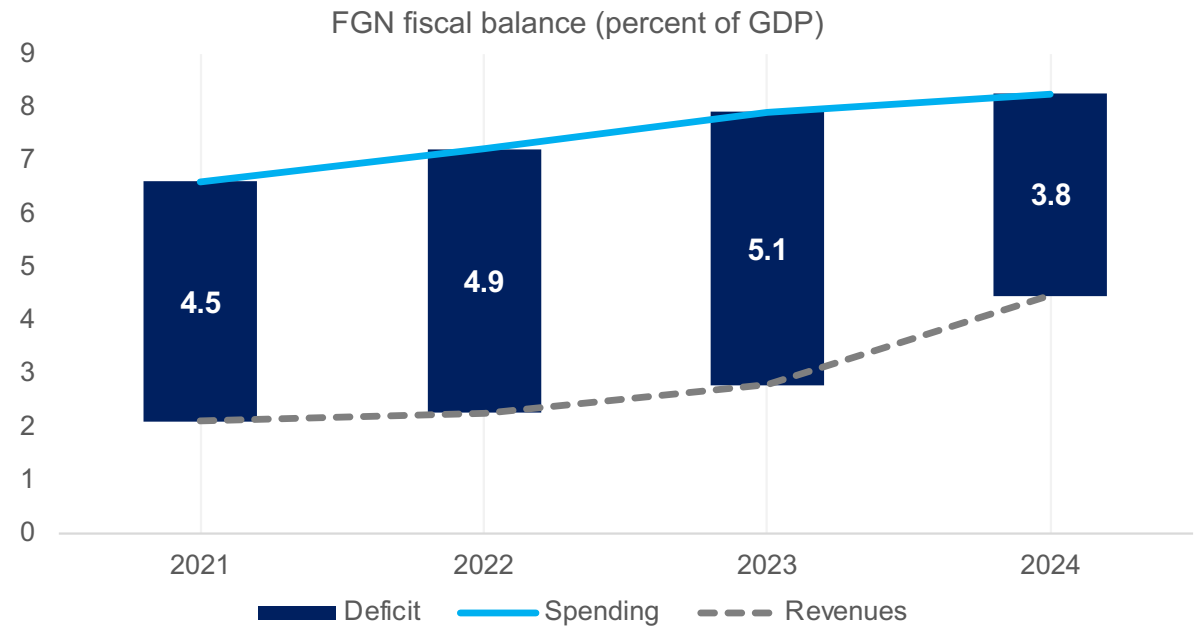
of 5 percent. The industry's liquidity ratio, at 46 percent in September 2024, was still significantly higher than the minimum regulatory benchmark of 30 percent. Banks responded positively to the CBN's recapitalization program, and the capital adequacy ratio (CAR) showed notable improvement by September 2024, increasing roughly 2 percentage points to 14 percent YoY. This increase was largely driven by growth in total qualifying capital, including higher profits and retained earnings, and a reduction in risk-weighted assets. Disaggregated data is unavailable for the industry's average CAR. Yet, it remained above the 10 percent benchmark for banks with national and regional authorization but lower than the 15 percent threshold required for banks with international authorization.

1.6 The fiscal situation improved, driven by a surge in revenues

Monetary policy tightening has been accompanied by fiscal consolidation at the FGN level in 2024. In 2024, the FGN's fiscal deficit narrowed to N10.5 trillion (3.8 percent of GDP) from N11.9 trillion (5.1 percent of GDP) Figure 1.20. This improvement was primarily due to a surge in revenues from the removal of the implicit FX subsidy, improved tax administration, and reforms that enhanced the transparency and accountability of how government-owned enterprises (GOEs) and ministries, departments, and agencies (MDAs) remit their statutory revenues. Meanwhile, expenditures slightly increased due to a higher wage bill following the increase in the minimum wage and new spending, such as on the presidential metering initiative.

Gains from FX unification and improved revenue administration boosted FGN's revenues. Revenues increased sharply from N6.8 trillion (2.9 percent of GDP) in 2023 to N12.4 trillion (4.5 percent of GDP) in 2024, due to three factors (Figure 1.21) First, the unification of the FX rate led to a significant revenue windfall, as various FX-

Figure 1.20: The Federal Government's fiscal position improved in 2024



Sources: OAGF; NBS; DMO, World Bank.

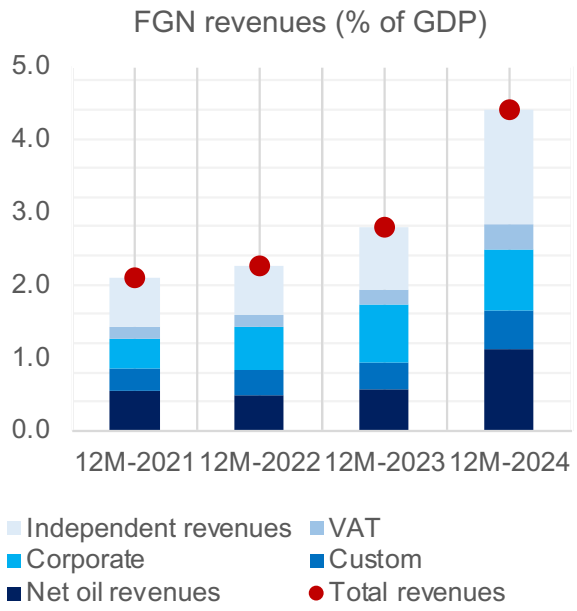
denominated revenues (oil, VAT, CIT, and customs) used to be transferred to the Federation at the official rate, which was 53 percent lower than the parallel rate in 2022, causing large forgone revenues (see Box 1.3 of the NDU October 2024). Second, enhanced tax administration, including digital tax collection via the TaxProMax system and the implementation of withholding VAT at source by certain sectors, also helped boost revenues as evidenced by the 86.1 percent (yoy) increase in locally collected VAT in 2024. Third, FGN's independent revenues increased by 0.8 percentage points of GDP in 2024, following the December 2023 reform that standardized and automated remittances from MDAs and GOEs to the treasury.

FGN's expenditures remained restrained relative to GDP. Spending increased from N18.6 trillion (7.9 percent of GDP) in 2023 to N22.9 trillion (8.3 percent of GDP) in 2024 (Figure 1.22). Personnel costs were up by NGN 0.8 trillion due to the increase in the minimum wage from NGN 30,000 per month to N 70,000 per month. Despite the announcements made in the revised 2024 budget, capital expenditure rose by only a modest N 0.5 trillion in 2024, a large under-execution of about 50 percent for the period[6]. Meanwhile, other recurrent spending, including statutory transfers, the Presidential metering initiative and other service wide votes more than doubled to about NGN 3.7 trillion in 2024.

In a crucial positive step toward restoring fiscal discipline and reducing inflation, the authorities have ceased resorting to deficit monetization through ways and means. Following the securitization of part of the legacy stock of CBN advances using market-based debt instruments in H1-2024, the stock of ways and means advances declined from N8.6 trillion in December 2023 to N3.7 trillion in June 2024 and has remained nearly constant since then (with the latest data available as of December 2024), indicating the discontinuation

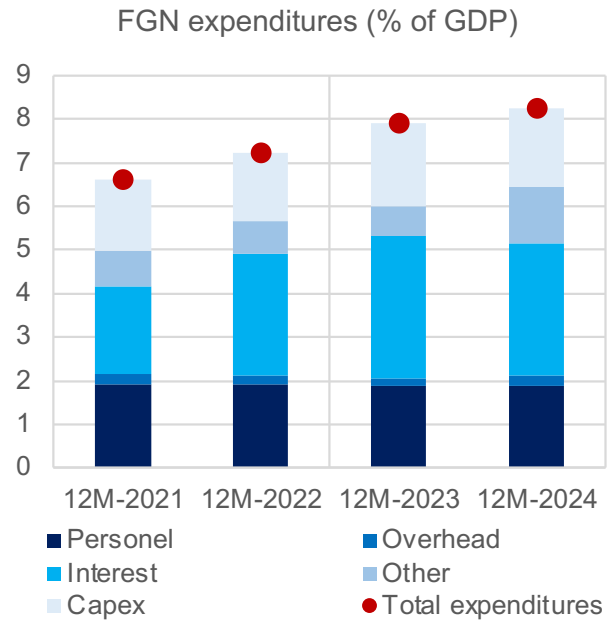
6 *The capex budget execution excludes capex by FGOEs and TETFUND.*

Figure 1.21:... FGN revenues surged in 2024 thanks to the FX unification and improved revenue administration



Sources: OAGF, DMO, NBS

Figure 1.22:...: FGN spending increased slightly due to a higher wage bill and new spending such as the presidential



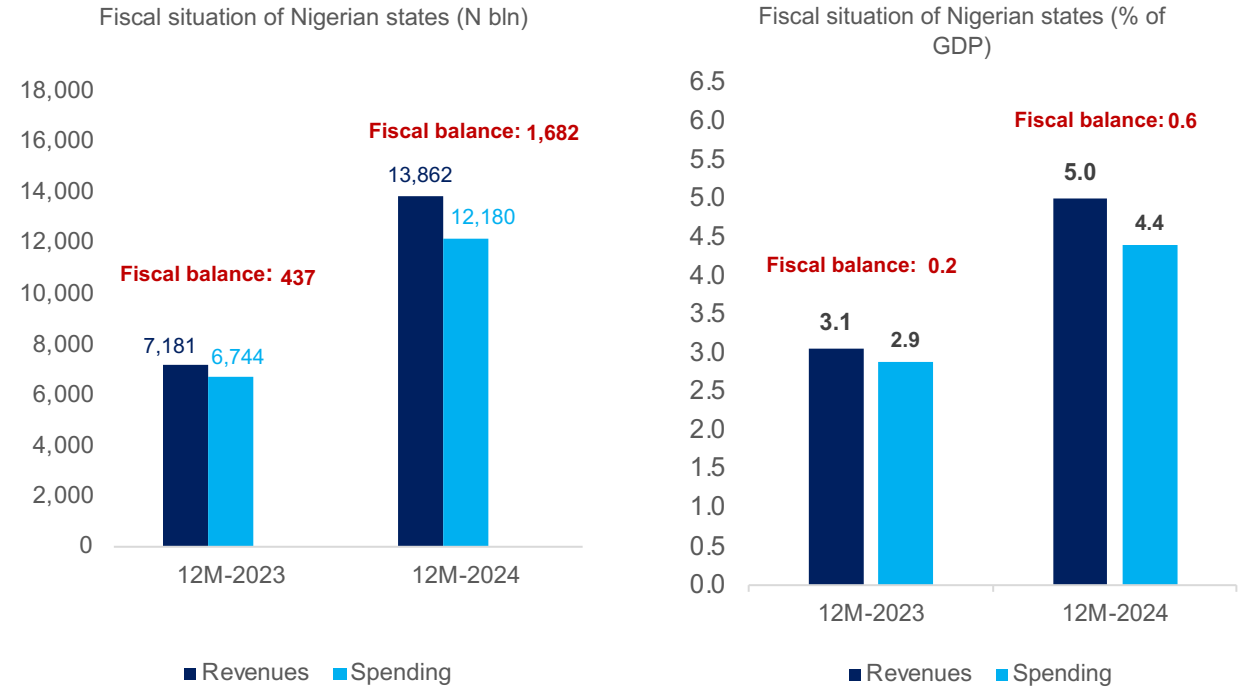
Sources: OAGF, DMO, NBS

of deficit monetization.

Despite these improvements in the fiscal position, there remains a need for greater clarity, transparency and accessibility in fiscal and budget reporting. Nigeria currently lacks an official fiscal position for the entire country across all tiers of Government (Federal Government, States, FCT, and Local Governments) which leads to uncertainties. Fiscal and budget reporting face several challenges, including opaque tracing of oil revenues, significant time lags in publishing data, and inaccessibility of reports and data. For instance, the official approved budget document for 2025 was only publicly available at the end of March 2025 and the updated Medium Term Expenditure Framework and Fiscal Strategy Paper (MTEF-FSP) was still not available as of early May 2025. Moreover, Public Financial Management (PFM) systems are fragmented, undermining fiscal management. It is therefore imperative to address these challenges in fiscal and budget monitoring and reporting. The establishment of a Fiscal Data Coordination Framework in March 2025 is a step in the right direction.

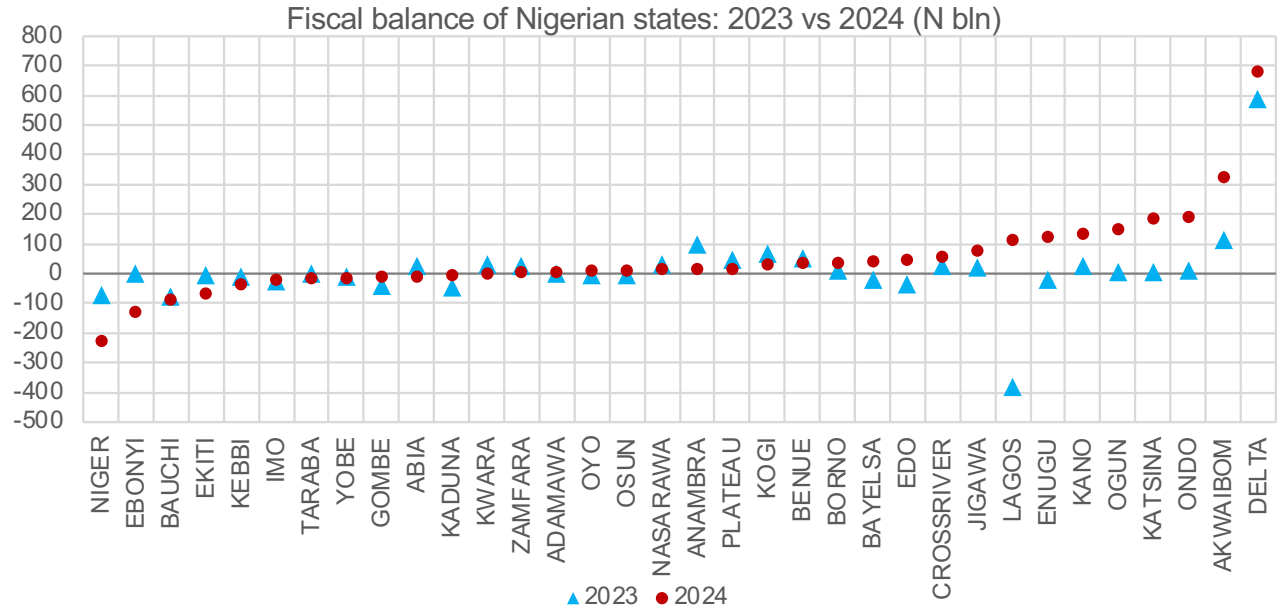
Based on available information, the 2025 budget envelopes are much larger than what is likely to be achieved and executed. The 2025 budget assumptions in the preliminary MTEF- FSP include oil price estimates of $75 per barrel for 2025, $76.2 for 2026, and $75.3 for 2027; which could be affected by global uncertainties and shocks. The government expects crude oil (including condensates) output to be 2.1 mbpd in 2025 and 2026, and 2.4 mbpd in 2027; this is optimistic, knowing that oil production (including condensates) averaged 1.6mbpd in January-March 2025. This conforms to a historical pattern of over-optimistic budgeted oil production estimates. FGN revenues for 2025 are anticipated to be 70 percent from oil and 30 percent from non-oil sources, assuming full remittance of the fiscal savings from PMS subsidy removal. However, as of March

Figure 1.23: On aggregate, the fiscal situation of Nigerian states improved in 2024…



Sources: State Budget Implementation Reports (BIRs) and World Bank calculations.
Note: Excludes Sokoto, Rivers because BIRs are not available for all quarters. Revenues exclude new borrowing, and spending excludes amortization"

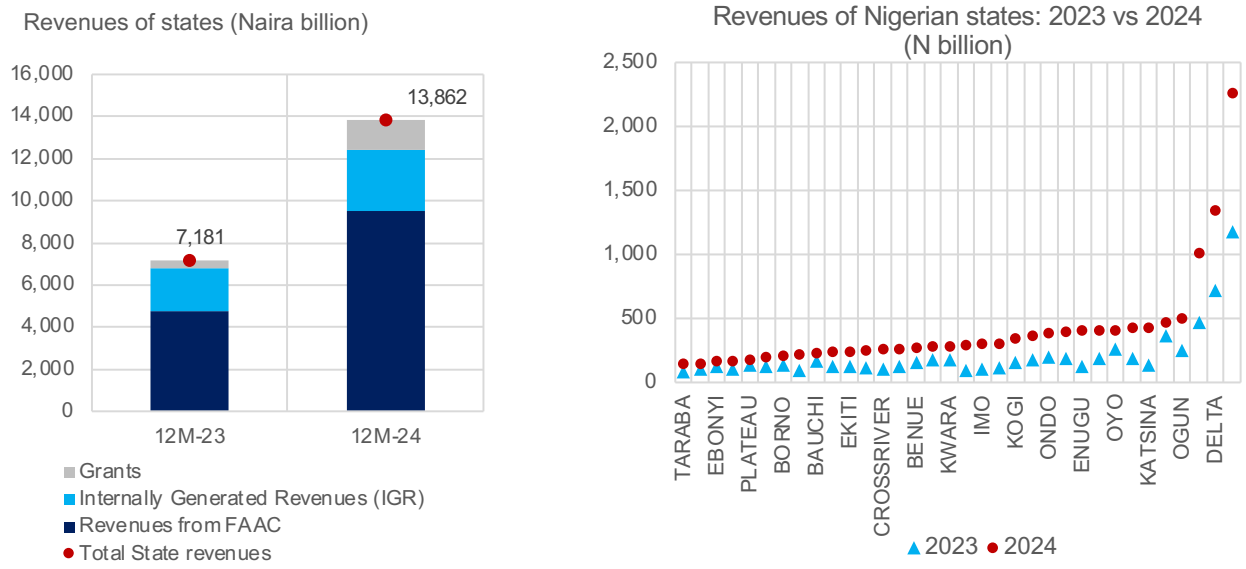
Figure 1.24:…. albeit with significant variation with some states doing better than others



Sources: State Budget Implementation Reports (BIRs) and World Bank calculations.
Note: Excludes Sokoto, Rivers because BIRs are not available for all quarters. Revenues exclude new borrowing, and spending excludes amortization.

2025, this full remittance had not yet occurred, as NNPCL claims it has large PMS-related subsidies that should be settled first (see Box 1.1). Additionally, the 2025 revenue forecast incudes the implementation of the windfall tax on FX realized gains, which also has not yet been executed so far. Capital expenditure for 2025 is projected at N23.4 trillion, almost four times the N6 trillion actual outturn in 2024. This is likely to be overly ambitious due to limited absorptive capacity and historical under-execution of capex. Realism of macroeconomic parameter projections is important as unrealistic revenue projections may cause financing requirements to exceed budgeted amounts, leading to a build-up of arrears and raising the risk of renewed recourse to deficit monetization.

Figure 1.25:. Revenues of all Nigerian states increased due to a surge in FAAC inflows



Sources: State Budget Implementation Reports (BIRs) and World Bank calculations.
Note: Excludes Sokoto, Rivers because BIRs are not available for all quarters. Revenues exclude new borrowing.

Box 1.1 : Gross FAAC revenues surged in 2024, but a large share was deducted and remitted back as revenues to states and local governments

Gross revenues collected by Nigeria's main revenue agencies surged in 2024, despite minimal remittances from NNPCL. FAAC data show that gross revenues collected by the main revenue agencies (FIRS, NCS, NNPCL and NUPRC) rose significantly from N16.5 trillion (7 percent of GDP) in 2023 to N29.5 trillion (10.6 percent of GDP) in 2024. The largest revenue increases came from FX-denominated sources that benefited from the removal of the FX subsidy, including oil revenues (royalties, taxes, signature bonuses), customs revenues, and the foreign trade-related component of VAT (Figure B1.1). However, NNPCL was the only laggard, remitting just N0.6 trillion to FAAC in 2024, down from N1.1 trillion in 2023, largely due to the implicit PMS subsidy, which remained in place until the end of September 2024. Although the subsidy was fully removed

on October 1, 2024 (Figure B1.2), NNPCL did not start transferring the resulting revenue gains to the Federation until January 2025. From that point, it began remitting 50 percent, with the other half being used to settle past arrears. As of February 2025, NNPCL's claimed arrears stood at N7.8 trillion, while the Federation's claims totaled N6.1 trillion, resulting in net arrears to NNPCL of approximately N1.7 trillion, down from N3.4 trillion in September 2024, before the subsidy removal (Figure B1.3).

Figure B1.1:. Gross revenue collected by the Federation surged in 2024

Agency	Revenue type	2023 Jan-Dec (NGN tln)	2024 Jan-Dec (NGN tln)	% Growth (YoY)	2023 Jan-Dec (% GDP)	2024 Jan-Dec (% GDP)	Change as % GDP (pp)
NUPRC	Oil and gas royalties	2.4	6.3	162.5	1.0	2.3	1.2
NUPRC	Gas flaring penalties	0.1	0.4	187.4	0.0	0.1	0.1
NUPRC	Rentals	0.0	0.0	102.5	0.0	0.0	0.0
NUPRC	Miscellaneous	0.0	0.0	115.9	0.0	0.0	0.0
NNPC	Federation share of NNPC PSC	0.5	0.3	-40.1	0.2	0.1	-0.1
NNPC	Interim dividends from NNPCL	0.6	0.3	-42.7	0.3	0.1	-0.1
FIRS	Oil and gas taxes	2.9	5.9	106.9	1.2	2.2	0.9
FIRS	CIT, SDT, and CGT	4.2	5.9	40.5	1.8	2.1	0.3
FIRS	VAT	3.6	6.7	86.1	1.5	2.4	0.9
FIRS	EMTL	0.2	0.2	29	0.1	0.1	0.0
NCS	Custom revenues	2.0	3.4	69.2	0.9	1.2	0.4
FGN	independent revenues	2.0	4.4	119.7	0.8	1.6	0.8
State IGR	States	2.2	3.2	42.6	0.9	1.1	0.2
	Total	20.7	37.1	79.2	8.8	13.3	4.5

Source: FAAC, OAGF, BIRS, NBS, World Bank.
Note: The green (red) shaded area suggests a negative (positive) change in revenues as a ratio of GDP between 2023 and 2024

However, a significant portion of gross FAAC revenues was deducted, with states receiving the largest share of these deductions as revenues. Of the total N29.5 trillion in gross revenues, 43.5 percent (N12.8 trillion) was deducted and not distributed according to the statutory revenue-sharing formula (Figure B1.4). Aside from the N1.3 trillion allocated for the cost of collection by various MDAs (FIRS, NCS, NMDPRA, NUPRC, and NEDC)—which has risen significantly due to the revenue surge—most deductions were ad hoc (Figure B1.5). These included N700 billion for the Presidential Metering Initiative, N1.2 trillion for the Nigerian military's special intervention program, and a substantial N8.3 trillion in disbursements to states and local governments for (i) federal support to states for infrastructure and security, (ii) refunds for signature bonuses, (iii) refunds for Excess Crude Account (ECA) withdrawals, and (iv) derivation refunds to oil-producing states. These FAAC disbursements, which significantly contributed to the recent surge in state-level revenues, stem from

past expenditures executed by the Federal Government but originally belonging to states and local governments.

Figure B1.2:. The PMS subsidy has been eliminated since October 2024…

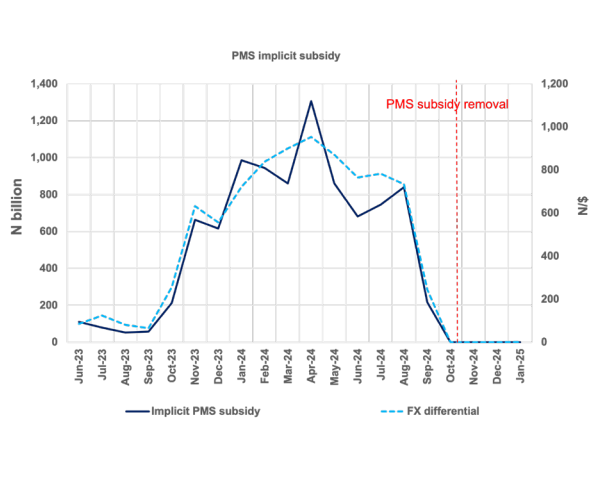
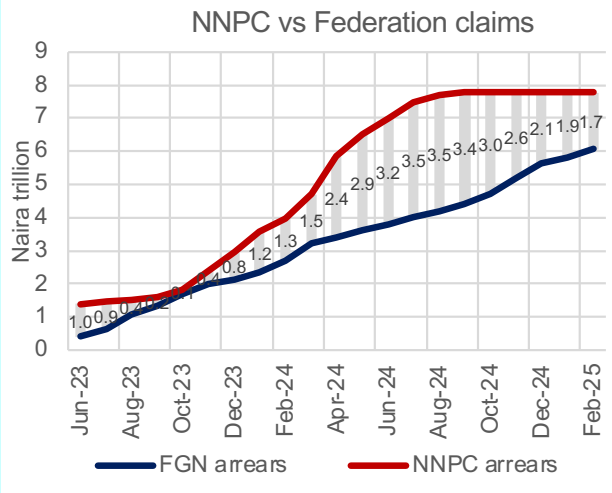


Figure B1.3:. … as a result, NNPCL arrears have decreased



Sources: FAAC and World Bank

Figure B1.4 :. 43.4 percent of gross revenues were deducted…

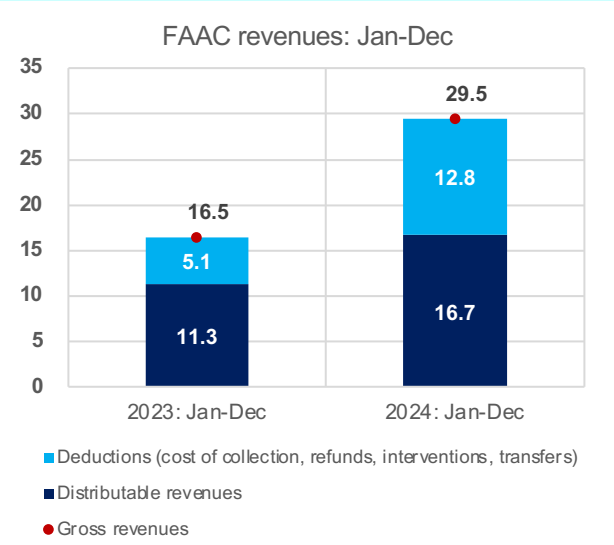
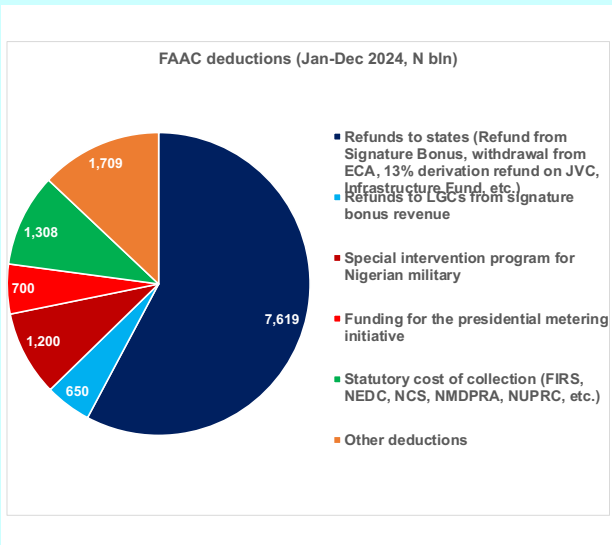


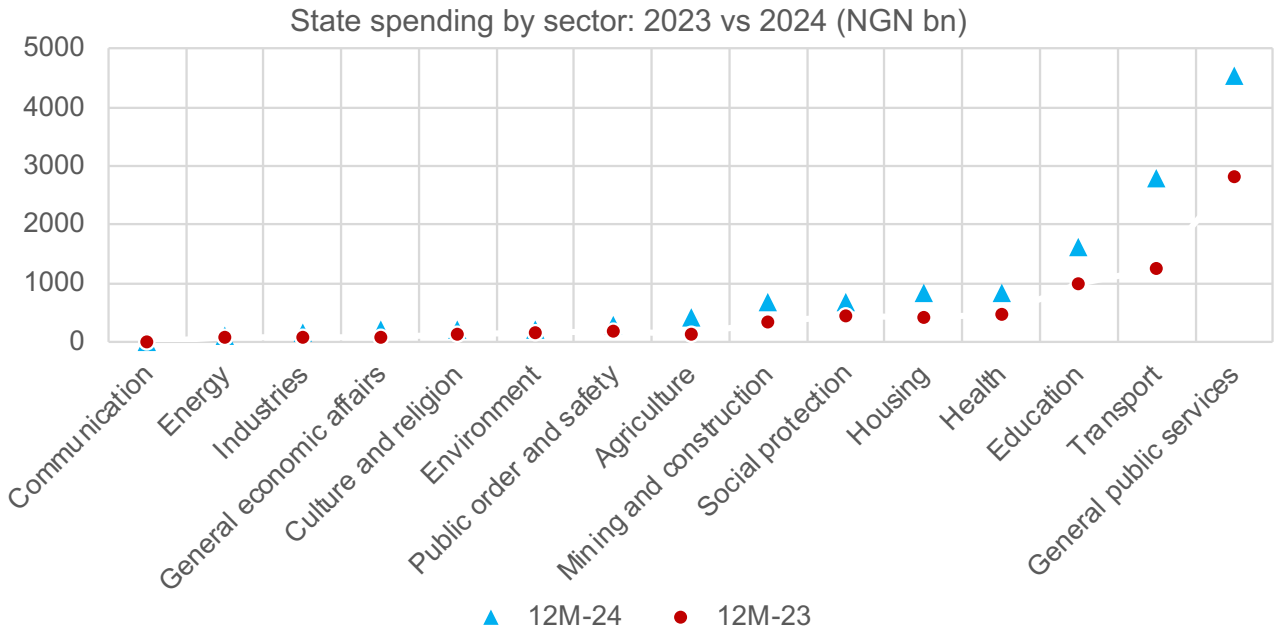
Figure B1.5: …benefiting mainly the states



Sources: FAAC and World Bank

The fiscal improvement observed at the federal government level was even more pronounced at the state level, where states are experiencing a fiscal surplus on aggregate, albeit with significant variation. Based on data compiled from various Budget Implementation Reports (BIRs), a total of 34 Nigerian states recorded an aggregate surplus of approximately N1.6 trillion (0.6 percent of GDP)

Figure 1.26:. Large infrastructure gaps prompted states to use the revenue windfall and increase spending on capital-intensive sectors



Sources: State Budget Implementation Reports (BIRs) and World Bank calculations.
Note: Excludes Sokoto, Rivers because BIRs are not available for all quarters. Spending excludes debt amortization.

in 2024, significantly higher than the N437 billion (0.2 percent of GDP) surplus in 2023 (Figure 1.23)[7]. While most states maintained a near-balanced fiscal position, some, such as Niger and Ebonyi, recorded fiscal deficits, whereas others—mainly oil-producing states like Ondo, Akwa Ibom, and Delta—reported large surpluses (Figure 1.24).

The improved fiscal position at the state level in 2024 stems from significantly higher revenues, driven in part by large refunds to states that had been deducted from FAAC. Revenues for the 34 states with available BIRs surged from N7.2 trillion in 2023 (3.1 percent of GDP) to N13.9 trillion in 2024 (5 percent of GDP) (Figure 1.25). This increase was fueled by a rise in oil, VAT, CIT, and customs revenues—distributed to states through the statutory revenue-sharing formula—as well as two key FAAC-financed windfalls: (i) NGN 1.2 trillion granted by the FGN for infrastructure and security support and (ii) NGN 7.1 trillion in oil-related refunds (see Box 1.1). As a result, FAAC revenues to states rose from N4.8 trillion (2 percent of GDP) in 2023 to N9.5 trillion (3.4 percent of GDP) in 2024. The seven oil-producing states—Abia, Akwa Ibom, Bayelsa, Delta, Edo, Imo, and Ondo—benefited the most from the FAAC windfall, accounting for 31 percent of the total revenue increase in 2024 (Figure 1.26). In addition to the FAAC increase, state Internally Generated Revenues (IGR) grew by 46 percent, reaching N2.9 trillion (1 percent of GDP), while grants and aid nearly tripled to N1.5 trillion (0.5 percent of GDP), further strengthening state finances.

Given the significant fiscal space created by the surge in revenues, states have substantially increased their spending, primarily on capex.

7 *The Budget Implementation Reports (BIRs) for Rivers and Sokoto are not consistently available from Q1 2023 to Q4 2024; therefore, they were excluded to ensure consistency in the analysis across time periods.*

State expenditures rose from N6.7 trillion in 2023 (2.9 percent of GDP) to N12.2 trillion (4.4 percent of GDP) in 2024, driven almost entirely by higher capex, which more than doubled from N3.3 trillion in 2023 to N7.4 trillion in 2024. This increase reflects the very large infrastructure gap, which many states suffer from (see Part 2, Figure 2.4). Sectoral data reflect this trend, with capital-intensive sectors such as transport, agriculture, mining, housing, and other industries seeing spending increases of over 100 percent, most of which is devoted to capex (Figure 1.26). Meanwhile, social sectors – including social protection, education, and health – also saw notable spending growth, albeit at lower rates of 57, 63, and 75 percent, respectively.

Nigeria's debt burden remains at a moderate level. Public and publicly guaranteed (PPG) debt increased to 53.2 percent of GDP in 2024, up from 45 percent of GDP in 2023[8]. The increase in overall debt, despite the improvement in the fiscal situation, primarily reflects significant FX revaluation effects from the depreciation of the naira, which raised the relative value of external debt from 16.3 percent of total debt in 2023 to 26.3 percent in 2024. While the public debt-to-GDP ratio increased, Nigeria's most concerning debt indicator—the debt service-to-revenue ratio—continued to improve (decline), falling below 40 percent in 2024, down from around 100 percent in 2022. Despite this notable improvement, the ratio remains high, underscoring the need for further revenue mobilization and expenditure discipline. In terms of financing, Nigeria successfully raised US$2.2 billion through a sovereign Eurobond issuance on December 2, 2024 – its first since February 2022 – as part of external borrowing to finance the 2024 federal budget. Compared with the initial offer of US$1.7 billion, the issuance was significantly oversubscribed, attracting bids totaling US$9.1 billion. The bond sale included a 6.5-year, US$700 million bond priced at 9.6 percent and a 10-year, US$1.5 billion bond at 10.3 percent. While the issuance reflects renewed foreign investor confidence in Nigeria, the cost of borrowing was high.

1.7 The economic outlook is cautiously optimistic for Nigeria

Global growth expected to be weighed down by headwinds[9]

Global growth is expected to moderately expand over 2025-26, at 2.7 percent per year. A deceleration in growth in the United States and China is expected to be offset by higher growth elsewhere, partly driven by emerging market and developing economies (EMDEs). Global activity has remained in expansionary territory in early 2025 amid some recent weakening of services activity. Inflation has been moderating without a substantial growth slowdown in key economies, and monetary policy easing has now become widespread. Yet, growth dynamics across advanced economies and EMDEs are forecast to diverge in 2025-26. Growth in advanced economies is expected to edge up, while continuing challenges in the property sector in China are anticipated to weigh on activity. Aggregate growth in other EMDEs is projected to firm over the forecast horizon, supported by easier financing conditions, recovering real incomes, and improving industrial activity and external demand.

Growth in EMDEs is forecast to remain at about 4 percent over 2025-26 on average as the projected slowdown in China is offset by an aggregate pickup in other EMDEs. Growth in EMDEs excluding China is projected to improve, mainly reflecting

8 *This includes remaining ways and means stock but excludes electricity subsidy arrears, AMCON liabilities and explicit guarantees; if these are included the debt stock would have been 49.6 percent of GDP in 2023 and 57.9 percent of GDP in 2024.*

9 *For further details on the global economic outlook, consult the source of this subsection: "World Bank (2025). Africa's Pulse, No. 31, April 2025: Improving Governance and Delivering for People in Africa"*

firming domestic demand, including strengthening investment in many EMDEs amid rising business confidence. Consumption is also expected to remain solid across EMDEs, supported by receding inflation, improved real household incomes, and stronger consumer confidence. Long-term drivers of growth have come under pressure, with trade—a key driver of investment and productivity growth in EMDEs—facing headwinds from heightened geopolitical shifts, trade fragmentation, and elevated policy uncertainty. Furthermore, significant challenges continue to persist in vulnerable economies, including in low-income countries (LICs) and those facing elevated levels of conflict and violence.

Commodity prices are forecast to decline in 2025-26. Nevertheless, most commodity prices are expected to remain well above pre-pandemic levels, supporting economic activity in many commodity exporters. Risks to commodity prices are substantial, including due to trade policy uncertainty. Commodity-specific tariffs could create price differentials and trade diversion, while broad-based tariffs could weaken global economic activity and dampen demand, putting downward pressure on commodity prices.

Nigeria's economic outlook is positive, but hinges on staying the course on implementing key reforms and sustaining reform momentum

Economic activity is expected to grow moderately in the medium term, driven by the services sector. GDP growth is projected to average 3.6 percent between 2025 and 2027, with per capita GDP growth expected to be around 1.1 percent. Agricultural output growth is estimated to remain low, as weak productivity, high input and trade costs, and insecurity in food producing regions will continue to constrain production. The manufacturing sector is expected to grow moderately by an average of 2.8 percent in the medium term, helped by ongoing macroeconomic stabilization. However, the existing structural bottlenecks, including insufficient power supply and high input costs, will continue to pose constraints to manufacturing growth. Oil sector growth is expected to slow down but remain positive. The services sector will continue to drive growth in the medium term, boosted by increased activities in the financial and ICT services.

Inflation is expected to moderate and average 22 percent in 2025, tapering to 15 percent by 2027. Headline inflation is expected to gradually ease in 2025, driven largely by tight monetary policy. Additionally, the direct- and indirect price increases caused by the naira's depreciation in 2023-24, higher gasoline prices associated with the elimination of the PMS subsidy, and a partial increase in electricity tariffs in 2024, will drop out of the base of comparison by the end of 2025 and moving into 2026. Second round price effects are expected to be contained, so long as CBN remains focused on restoring price stability. The challenge of decisively bringing down inflation should be seen in the context that it takes time to reverse expectations of continually increasing inflation, which result from a prolonged period of rising inflation, as has been the case in Nigeria. Now that most of these previously suppressed prices have been allowed to adjust, and with the CBN maintaining appropriately tight monetary policy to foster renewed confidence in the naira and begin to lower expectations of future price increases, the pace of price increases is expected to wane. Structural reforms to address supply-side constraints such as unreliable electricity, inadequate transport infrastructure, and trade restrictions, would also help lower prices. Finally, it will be vital for the government to maintain fiscal discipline and continue to avoid deficit monetization through Ways and Means advances.

The fiscal outlook remains positive, supported by rising nominal revenues and ongoing reforms,

including domestic revenue mobilization. The consolidated fiscal deficit is estimated to narrow over the medium term reaching an estimated 3.0 percent of GDP by 2027. The fiscal gains from the PMS subsidy removal, if fully transferred back as revenues, would further generate fiscal space. Continued fiscal prudence, anchored by reforms and actions to further raise revenues both at the Federal and state level, through tax policy and tax administration measures, would be critical to maintain macroeconomic stability and keep debt on a sustainable path. The 2025 FGN budget has ambitious macroeconomic assumptions and revenue forecasts which, if not met, could significantly increase the fiscal deficit even if spending is within budget. Borrowing limits may be insufficient, which poses a risk of reverting back to deficit monetization. Sustained efforts to enhance expenditure efficiency and transparency, and to redirect fiscal gains toward pro-growth sectors, are crucial for maximizing development outcomes. This responsibility lies not only with the Federal Government but even more so with subnational governments, as states now receive more revenue than the Federal Government.

Assuming continued fiscal prudence, debt is expected to remain sustainable. The debt dynamics would be supported primarily by higher revenues driven by ongoing macroeconomic reforms. In addition, the past securitization of the N22.7 trillion Ways and Means stock into a long-term instrument with a significantly lower interest rate would help ease debt service payments. Over the medium term, the consolidated debt position is projected to remain around 52.4 percent of GDP by 2027, while the debt service-to-revenue ratio is expected to continue trending downward, remaining below 40 percent. However, debt sustainability is highly susceptible to shocks such as potential further depreciation of the naira and major fiscal shocks such as a sharp decline in oil prices.

The current account balance is projected to remain in surplus in the medium term, standing at 8.9 percent of GDP in 2027. The current account surplus will be supported by rising non-oil exports, responding to Nigeria's improved international competitiveness following the macroeconomic reforms. Conversely, a number of factors may weigh on oil exports: lower global oil prices, greater absorption of crude oil by domestic refining in the medium term, and large forward commitments of NNPCL crude oil sales. The removal of the gasoline subsidy and, over time, higher domestic refining will likely reduce refined petroleum product imports. Remittance inflows are expected to grow modestly, supported by the market-reflective exchange rate and remittances facilitation reforms.

Risks to the outlook are largely tilted to the downside. These include political considerations related to drawing closer to the 2027 general elections, and potential social tensions that could weaken reform momentum and jeopardize recent advances; adverse weather shocks; rising insecurity in farming areas; and setbacks in oil production. Global trade and geopolitical policy shifts could also weigh on the outlook. Heightened uncertainty could sharply lower oil prices, and, accordingly, oil exports and revenues, as well as tighten financial conditions. While the economy may cushion some of these impacts through a flexible naira acting as a shock absorber, sustained resilience will require more than macroeconomic stabilization alone. The government should therefore not only stay the course on macroeconomic stabilization but also make progress on implementing a bold structural reform agenda. Addressing pressing social and humanitarian challenges remains critical to ensuring inclusive and sustainable growth. Part 2 turns to a discussion of such a growth agenda for Nigeria in 2025 and beyond.



PART 2: A reform agenda for boosting inclusive growth in Nigeria

2.1 The urgency of inclusive growth

As noted in Part 1, Nigeria's growth is gradually picking up, but it must accelerate on a sustained basis to reduce poverty and meet the aspirations of Nigerians.

From a static perspective, Nigeria's economy needs to grow to boost incomes and meet aspirations. If Nigeria's current annual economic output was equally distributed, this would be sufficient to eliminate poverty, but it would still leave Nigerians far behind the global prosperity frontier. With an estimated population in 2024 of about 232.7 million people and a GDP of N277.5 trillion, each Nigerian would have taken home N1.2 million, or about N100,000 per month, if output was divided equally. This would imply a standard of living equivalent to almost four times the current poverty line, a huge improvement for the close to 60 percent of Nigerians who live in families whose breadwinners are not able to produce and earn enough to escape poverty. Yet, even if it was divided equally in this way, and adjusting for differences in prices across countries, current annual output is not enough to make Nigerians prosperous. Nigeria's annual GDP per capita of $6,207 in current international dollars ranks 146th out of 191 countries with data, equivalent to just 4.4 percent of the per capita income of the leading country on this measure (Singapore) or 30 percent of the leading continental African country (Botswana)[10].

From a dynamic perspective, the need for Nigeria's economy to grow faster is even more stark. Nigeria has a young and fast-growing population. About half of Nigerians are 18 or younger, and the population is increasing by almost five million people every year. In the next 10 years, almost 60 million young Nigerian men and women will become of working age. By 2050, the population is forecast to exceed 400 million. Nigeria's economy needs to grow twice as fast and transform to create new good jobs and productive earning opportunities at this enormous scale. Only if it does, will the millions of young people joining the labor force have jobs.

A youthful population points to a dynamic future, but will also reap benefits if it can accelerate the demographic transition. This has been progressing slowly so far. The youth and elderly shares of Nigeria's population changed only slowly between 1990 and 2020, and as a result, the dependency ratio (the ratio of non-working age to working age population) declined very modestly, from 94 dependents per 100 working age population to 85 over a 30-year period[11]. The dependency ratio is a measure of the economic pressure that working-age individuals face to support the old and the young. A more rapid decline would imply a larger share of the population being of working age and therefore in the high-work, high-savings part of the life cycle. This can enhance the productive capacity of the economy and set the stage for higher economic growth.

Nigeria is poised to seize a powerful potential demographic dividend, provided it makes investments in human capital in tandem with creating jobs and growth. Accumulation of human capital determines whether people work and, if they do, how productive they are, increasing disposable incomes. At present, however, the labor force is growing faster than the economy's ability to create more and better jobs, and human capital investments are lagging. Without jobs and human capital development, too many young people will lack opportunities, creating risks of fragility and loss of social cohesion.

10 Ranking based on GDP per capita at purchasing power parity (current international dollars), 2023 (latest data). Source: World Bank WDI.

11 The dependency ratio measures the proportion of dependents to the working-age population (those aged 15-64) to assess the burden on the working age population to support dependents.

Figure 2.1:. Nigeria's youth population is burgeoning…

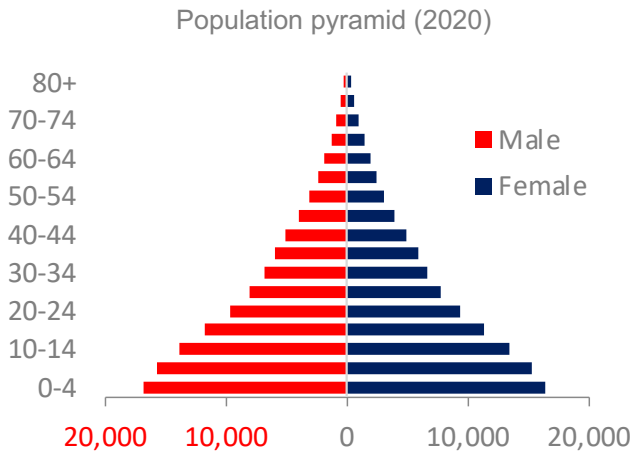
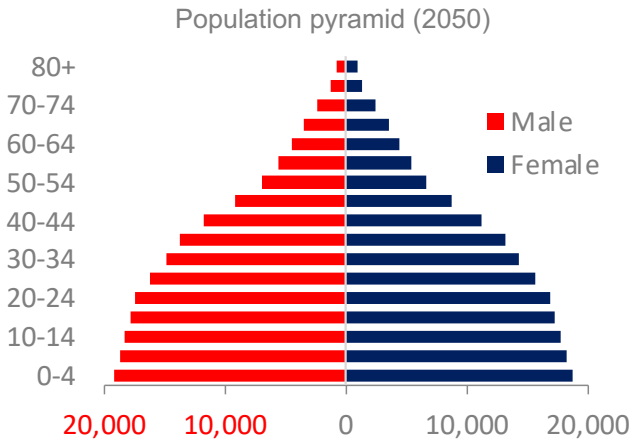
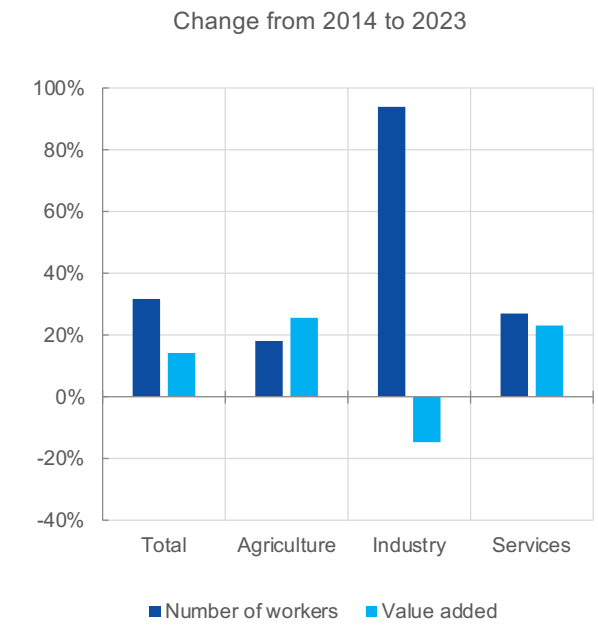


Figure 2.2:. … and will enormously enlarge the working age population in coming decades



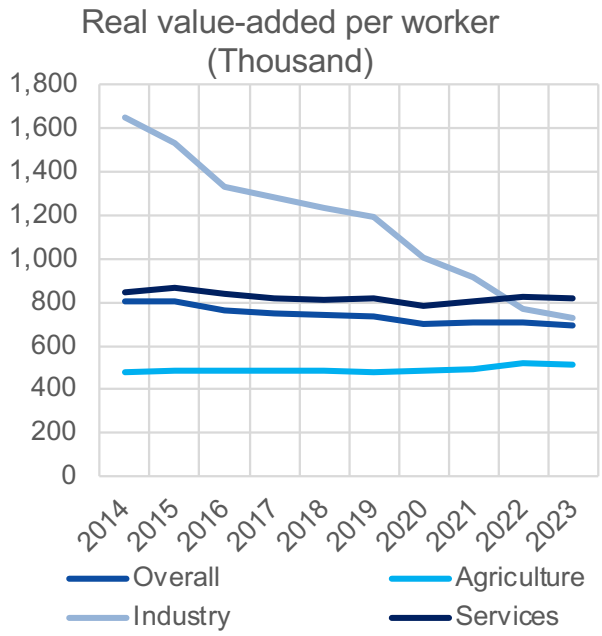
Sources: World Bank staff calculations based on UN population data https://population.un.org/dataportal/

Figure 2.3: In the decade to 2023, value-added generally increased more slowly than the number of workers…



Sources: World Bank calculations based on WDI data

Figure 2.4: …resulting in declining productivity in most sectors and in the economy as a whole



Sources: World Bank calculations based on WDI data

In short, Nigeria has a potential economic powerhouse in its youth (Figure 2.1, Figure 2.2), but it needs to ramp up investments in its workers and in the jobs of the future so that they are equipped with the human capital to be productive and to access income earning opportunities. The roots of

today's youth jobs challenge can be found at least in part in the shortcomings of delivery systems a generation ago. Future growth prospects hinge on urgently closing access and quality gaps for families in healthcare, nutrition, education, water and sanitation, and social protection.

The government recognizes the need for much faster growth. For example, the government has a stated goal of achieving a trillion-dollar economy by 2030. This would require the US dollar value of Nigeria's annual economic output to increase five times faster than currently[12].

To succeed, the economy has to grow at a faster pace, but also in a more inclusive way. Not only must the economy grow faster, but it also needs to grow in such a way as to generate jobs and opportunities for the Nigerians who need it most: the poorest and least prosperous. The enormous scale of the above-mentioned jobs challenge was the topic of the previous NDU Spotlight. This Part 2 builds on it by considering one crucial aspect of meeting Nigeria's jobs challenge: adopting an inclusive growth strategy to spur stronger productivity growth and structural transformation. This is urgently needed to turn around a situation whereby over the decade through 2023, the pace of GDP growth (real value added) was outstripped by labor force growth across the economy, except in agriculture (where it was broadly similar) (Figure 2.3). As a result, output per worker, or productivity – the fundamental driver of incomes and earnings – fell (Figure 2.4). Even in the lowest productivity sector, agriculture, output per worker increased by only a modest 6.3 percent over the decade to 2023. This indicates that structural transformation of Nigeria's economy is happening too slowly, leaving most working-age Nigerians stuck in low-productivity, low-earning work[13].

2.2 A two-part agenda for achieving rapid, inclusive growth

Building on the difficult macroeconomic reforms already undertaken, Nigeria could consider a two-pronged strategy for inclusive economic growth.

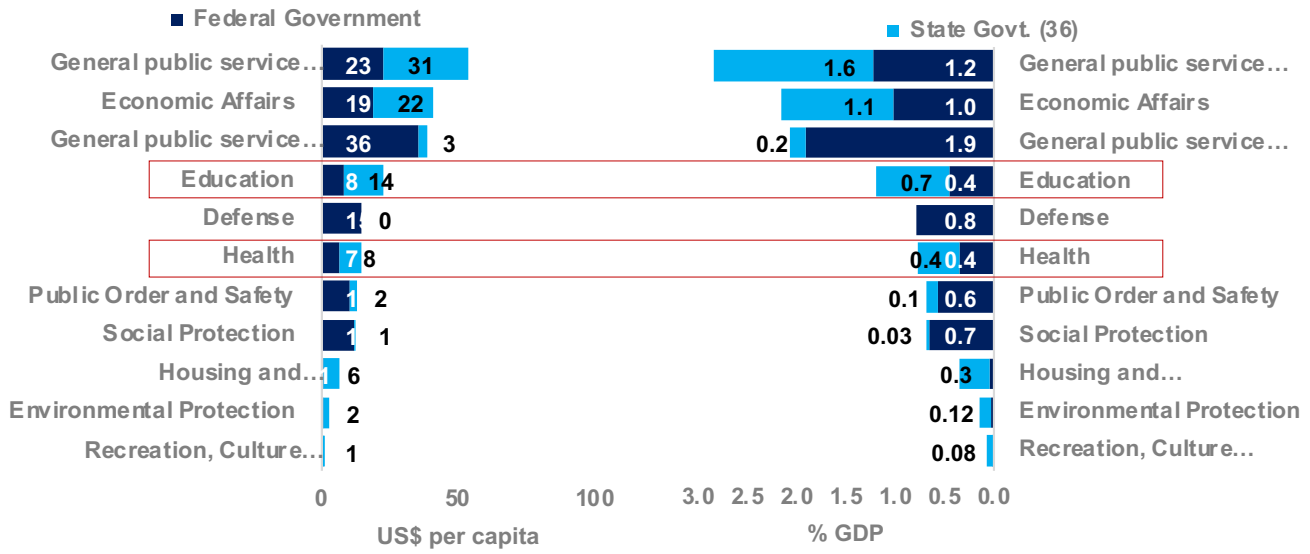
First, build an enabling public sector, including by continuing to restore fiscal space, and spending more and better on development priorities. The signature reforms have averted an outright fiscal crisis by ending the ruinously expensive, economically distorting, and regressive PMS and FX subsidies. As a result of the reforms, fiscal space is gradually being restored (Figure 2.5). Yet, public spending on development priorities remains critically low, including to plug the hard infrastructure gaps which constrain growth (e.g., poor transportation infrastructure and unreliable electricity), and to build the human capital needed for a healthy, productive workforce (e.g., addressing the lack of access to and poor quality of public healthcare, education, and water and sanitation).

Second, enable private sector development by undertaking additional reforms, spurring structural transformation, and diversifying the economy. The signature reforms are restoring macroeconomic stability and have dramatically strengthened the external position (Figure 2.6), by ending the imbalances caused by the previous PMS and FX subsidies. However, Nigeria remains heavily reliant on oil and gas exports for FX (Figure 2.7). Now, there is a window to seize the opportunity created by a market-reflective, competitive exchange rate, for the economy to diversify. This will require making changes to create an enabling environment for the private sector to invest and produce more in Nigeria, both to meet local demand, and to sell

12 Using 2024 GDP at current prices of NGN 277.5 trillion and assuming a constant exchange rate.

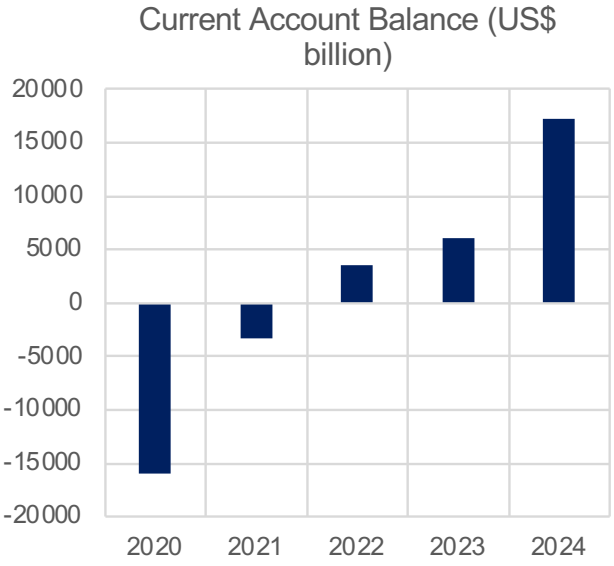
13 This note draws on the most recent World Bank Country Economic Memorandum for Nigeria (2022).

Figure 2.5 :. Nigeria spends far too little on development priorities



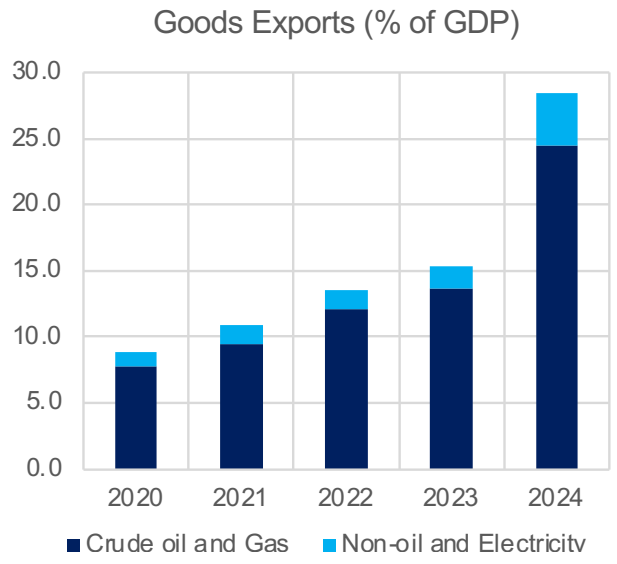
Sources: PFR 2022

Figure 2.6: The macroeconomic reforms have strengthened Nigeria's external position...



Sources: CBN

Figure 2.7: ...but non-oil exports remain low



Sources: CBN

products and services overseas.

The public sector has a critical role to play, by spending better, and by enabling the private sector. By spending better on development priorities, the public sector would be focused squarely on meeting the urgent needs of the population for better infrastructure, public services (education, health),

and security. In doing so, as well as by reforming the policy and regulatory environment in which firms operate, it can create enabling conditions for the private sector to invest and grow. This is vital, because the public sector remains fiscally- and capacity-constrained, and so cannot itself directly drive mass formal job creation. It can, however, equip the population to get jobs and seize economic opportunities, and create conditions conducive to large-scale private investment. In the absence of these changes, improved macroeconomic stability alone – although critical to underpin confidence in the economy – may not be enough to trigger the needed surge in investment and economic activity. Instead, deepening and widening reforms can have transformative effects, as international evidence demonstrates (Table 2.1).

Table 2.1: Comprehensive and ambitious reforms have substantially accelerated investments and growth across countries

Country	Episode	Output Growth		Fiscal policy	Monetary policy	Structural policy	External environment
		During	Outside				
Chile	1986-93	7.6 (7.1)	3.4 (3.4)	Fiscal consolidation	Central bank independence (1989); adoption of inflation target (1990)	Trade liberalization; financial sector deepening (banking reforms)	Rising copper prices in the late 1980s
Colombia	2001-07	4.5 (4.7)	3.3 (3.4)	Fiscal consolidation; structural tax reforms; SOE and public investment management reforms	Increased exchange rate flexibility; adoption of inflation target (1999); enhanced central bank independence	Enhanced trade linkages; financial sector deepening	Rising oil prices; strong global growth and supportive global financial conditions
India	1994-99	6.8 (7.1)	5.2 (6.1)	Fiscal consolidation; structural tax reforms	Increased exchange rate flexibility	Ended most public sector monopolies; capital account and trade liberalization; reduced state control of banking and insurance	Solid global growth
Korea, Rep.	1985-96	9.3 (9.4)	4.0 (3.3)	Fiscal consolidation and rules (balanced budget principle); institutional fiscal improvements (establishing a budget council)	Ended central bank financing of government	Trade liberalization (reduced import restrictions); reduction in price controls; competition reforms (Monopoly Regulation and Fair Trade Act)	
Korea, Rep.	1999-2007	6.3 (5.3)	4.0 (3.3)	Fiscal consolidation (especially lower spending growth)	Enhanced central bank independence; increased exchange rate flexibility; adoption of inflation targeting (1998)	Liberalization of capital markets (reduced FDI restrictions); corporate governance reforms & restructuring of financial corporations	Strong global growth and supportive global financial conditions
Morocco	1996-2009	5.0 (5.4)	3.2 (4.0)	Fiscal consolidation; structural tax reforms	Reforms to balance fixed exchange rate	Trade liberalization (trade agreements with the EU and U.S.); reduction in price controls and subsidies; financial sector deepening (better access to credit)	Strong global growth and supportive global financial conditions
Malaysia	1988-97	9.2 (9.2)	3.4 (5.4)	Structural tax reforms (revenue collection focus)	Currency devaluation	Financial sector deepening (better access to credit)	

Poland	1992-2000	5.0 (4.7)	-0.7 (1.3)	Reduction of inefficient subsidies; SOE management reforms; structural tax and entitlement reforms	Increased exchange rate flexibility; monetary tightening (curbing excess credit growth); adoption of inflation targeting (1998)	Privatization of state-owned enterprises; trade liberalization (joined GATT and signed multiple trade agreements); capital account liberalization; banking reforms and recapitalization; competition reforms	Paris Club debt forgiveness
Poland	2003-08	4.9 (4.6)	-0.7 (1.3)	Targeted tax reductions to promote investment	Increased exchange rate flexibility	Financial sector deepening; alignment of many policies and regulations to the EU	Accession to the EU in 2004; strong global growth and supportive global financial conditions
Türkiye	2003-08	6.2 (6.4)	3.7 (4.9)	Fiscal consolidation and rules (primary surplus target)	Central bank independence (2001)	Privatizations and corporate restructuring; business climate improvements; trade liberalization; labor market liberalization; banking reform	Strong global growth and supportive global financial conditions
Uganda	1993-2012	7.4 (7.1)	4.2 (4.7)	Privatizations and SOE reforms; institutional fiscal improvements (establishing Uganda Tax authority)	Increased exchange rate flexibility	Banking reform; trade liberalization; business climate improvements	HIPC and Multilateral Debt Relief; development assistance
Uruguay	1991-98	4.5 (4.7)	0.0 (0.8)	Fiscal consolidation	Increased exchange rate flexibility; limited central bank financing of government	Trade liberalization (MERCOSUR regional trade agreement)	Reduced external debt through Brady plan
Uruguay	2004-14	5.4 (5.0)	0.0 (0.8)	Institutional fiscal improvements (improved public balance sheet management)	Increased exchange rate flexibility; enhanced central bank independence; adoption of inflation targeting (2005)	Banking reform; business climate improvements	Elevated agricultural commodity prices; improving regional trade integration; supportive global financial conditions

Sources: Global Economic Prospects, January 2024
Notes: All numbers are average growth rates in percent with median growth rates in parentheses for the respective acceleration years, or all non-acceleration years in a country since 1980. "During" refers to statistics for the acceleration years between 1980-2022. "Outside" refers to statistics for all non-acceleration years over the same period.

2.3 Building an empowering public sector

Continuing to improve macro-fiscal policies and institutions

Maintain and build upon improved macroeconomic policies. With inflation still high, consumers' purchasing power and firms' profitability are being eroded. This weighs on consumption and investment. To reduce inflation, it is critical for the CBN to maintain tight monetary policy, and to continue to improve the implementation of monetary policy. OMOs should be open for domestic market participants only and offered at much shorter tenors, as the current approach segments the yield curve, attempts to achieve different policy objectives with a single instrument (and is inefficient as a result), adds to debt rollover risks, and is very costly. Narrowing the interest rate corridor would also help to strengthen the transmission of monetary policy to short-term market interest rates and promote financial market deepening, which is currently also constrained by high CRR levels. Recent steps to improve CBN's balance sheet transparency by publishing the financial statements and disclosing net reserves are laudable. In the area of exchange rate policy, efforts to foster transparency and liquidity in the FX market should continue, including developing, communicating and implementing a systematic approach to the CBN's interventions.

Continue improving the fiscal position and overall

public finance management. Maintaining the revenue-driven fiscal consolidation underway since 2024 is essential, so that the overall macroeconomic policy mix is coherent and conducive to restoring price stability and confidence. Although much improved, revenues remain low, constraining development spending. This makes it urgent and critical to sustain public revenue policy and administration improvements, as well as ensuring that revenue gains from the removal of the PMS subsidy flow to the Federation. Also, fiscal flows and the overall fiscal position remain opaque. The adoption and implementation of rules for systematic, timely fiscal reporting, and of institutional guidelines for the FAAC, would significantly improve fiscal transparency and accountability. There is also scope to improve cash management (e.g., by consolidating flows into the consolidated revenue fund, and establishing a consolidated daily view of the cash position), improve debt management (e.g., by adopting annual borrowing plans, and institutionalizing liability management operations), and to improve the public finance audit function (e.g., by passing an audit law and clearing the backlog of audited financial statements).

Spending better

With fiscal space being repaired thanks to macro-fiscal reforms, Nigeria has a historic opportunity to spend better and improve human capital, social protection, and infrastructure. Previously, Nigeria was facing escalating risk of entering a full-blown fiscal crisis, and the fiscal space for development spending was being exhausted by the unsustainable macro policy mix including PMS and FX subsidies. Now, with the fiscal situation improving and more revenues flowing to the Federation, Nigeria has a golden opportunity to direct its public resources to meet development objectives. This should be done within the overall context of continuing to maintain fiscal discipline, as this remains essential to complement tight monetary policy and restore confidence in the naira and macroeconomic stability.

To spend better, Nigeria should reorient its public resources towards meeting its development goals, and to facilitate this could consider a compact between the Federal Government and States. The 36 States and FCT are responsible for a large share of spending on essential public services, and human and physical capital investment. A compact could enshrine spending commitments that, collectively, would strengthen the allocative efficiency of spending, such as by setting minimum spending on primary healthcare and basic education (e.g., as a percentage of total actual spending). Funding to BHCPF and UBEC could be scaled up. Performance-based financing, such as through matching grants, as well as coordinating skills development to align with local skills demand by the private sector could be considered[14]. A compact could also commit the Federation to improving how the FAAC functions and ensure that a sufficient proportion of resources is channeled towards meeting development goals. Ideas could include capping non-statutory deductions, and publishing FAAC data and documents from participating agencies (for transparency and accountability).

2.4 Enabling private sector development

Providing a conducive environment and setting the right incentives for businesses to grow

The private sector needs both the conditions and the incentives to invest, create productive jobs, and increase Nigerians' purchasing power. Macroeconomic stability is a pre-requisite for businesses to invest with sufficient predictability of their return in the longer term. Yet, this is not sufficient

14 *See Hendra et al. (2016), McKenzie (2017), and Grundke et al. (2021)*

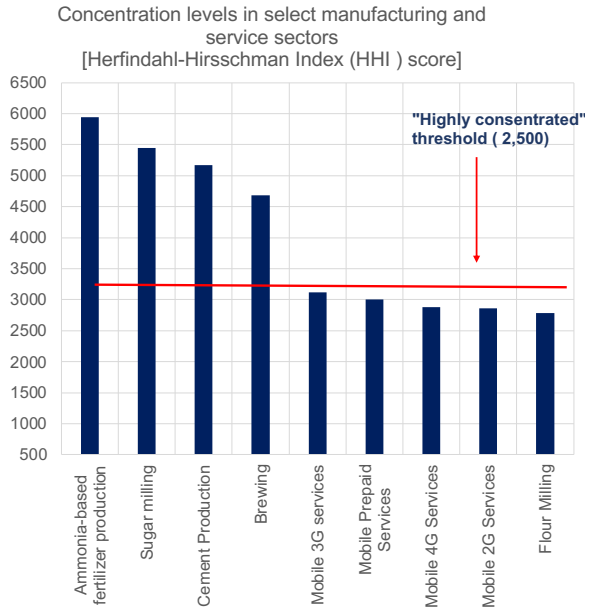
Figure 2.8:. Businesses face high constraints to investment…

Risks to business profitability (0-lowest, 4-highest), 2004



Sources: EIU
Notes: Comparators are Egypt, Ghana, India, Indonesia, South Africa

Figure 2.9: …and weak competitive pressure



Sources: Sugar and flour data as of 2016 https://journalissues.org/wp-content/uploads/2017/06/Ofonyelu.pdf ; Fertilizer data as of 2015, IFDC database; Cement data of 2015/16, Cement Database; Mobile services data of Q2 2021, GSMA intelligence; Brewing data as of 2018 http://www.unitedcapitalplcgroup.com/wp-content/uploads/2018/08/INTBREW-coverage-initiation-Report1.pdf
Note These HHIs do not include import amounts which can apply competitive pressure to domestic industries. Based on the HHI, the concentration levels are classified as follows: 1) Unconcentrated markets: HHI below 1,500, 2) Moderately concentrated markets: HHI between 1,500 and 2,500, 3) Highly concentrated markets: HHI above 2,500 (Horizontal merger guidelines 2010; U.S. Department of Justice and Federal Trade Commission).

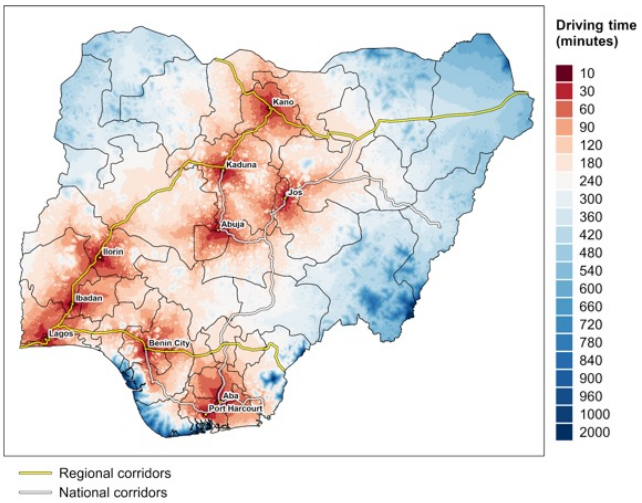
on its own. For businesses to turn a profit, they need reasonable access to infrastructure, skills, finance, intermediate inputs, and large markets to sell their products. Although Nigeria has the potential to offer many of these conditions, it currently does a worse job in providing a conducive business environment than its peers (Figure 2.8). In parallel, markets also need to be contestable to keep businesses on their toes, and create a virtuous cycle where they invest to become more productive and expand in domestic and foreign markets, in turn, increasing the returns to further investments[15]. This process generates more and better jobs, as well as lower prices, benefiting the poor and increasing disposable income, also creating a virtuous cycle by driving up consumption and firms' incentives to invest to supply a growing market. However, several markets in Nigeria present a high degree of concentration, consistent with weak competitive forces, and policies in some areas are skewed towards protecting incumbents (Figure 2.9).

Improving access to and quality of infrastructure is a priority area for policy reform, as inadequate infrastructure is consistently cited by firms as one of the key constraints to doing business. Access to transportation allows businesses to source inputs,

15 *For international evidence, see, for instance, Pavcnik (2002), Aghion et al. (2004), Bloom and Van and Reenen (2007), and Amiti and Khandelwal (2013).*

Figure 2.10: Market integration is markedly low, constraining businesses and regional development

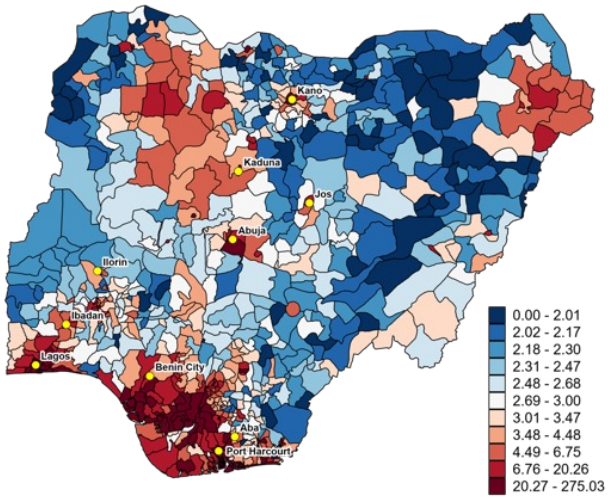
Road accessibility to the top 10 major cities



Sources: Global Friction Surface 2019

Figure 2.11: Access to power is similarly limited, as well as unreliable

Area standardized nightlight level (NTL/km2, 2023) the top 10 major cities



Sources: World Bank - Light Every Night

expand product markets, and reap economies of scale[16]. Yet, large areas of Nigeria are poorly connected to major economic centers, while these are also not very well integrated to one another (Figure 2.10). Inter-state fees for moving cargo and roadblocks further limit integration. Beyond constraining individual firms, this hinders regional and sectoral development, notably in agriculture; for example, shortcomings in transport, handling and storage cause half of tomatoes produced in Nigeria to be lost[17]. Access to power is similarly restricted geographically, covering only 61 percent of the population as of 2023 (Figure 2.11). Even among those connected to the grid, 80 percent of them have six or less hours of electricity per day. The government has large arrears related to tariff shortfalls, constituting a remaining subsidy which is costly and highly regressive, as it benefits mainly the largest electricity consumers. Providing a unified public private partnership (PPP) legal and regulatory framework with clarity on institutional roles and responsibilities across the project cycle, as well as measures to strengthen public investment management, could help alleviate these constraints. In the power sector, moving towards eliminating the electricity subsidy, whilst protecting poor households, and increasing the mini grid permit cap, could be first steps to improve supply (see further details on energy reforms in the last section, below).

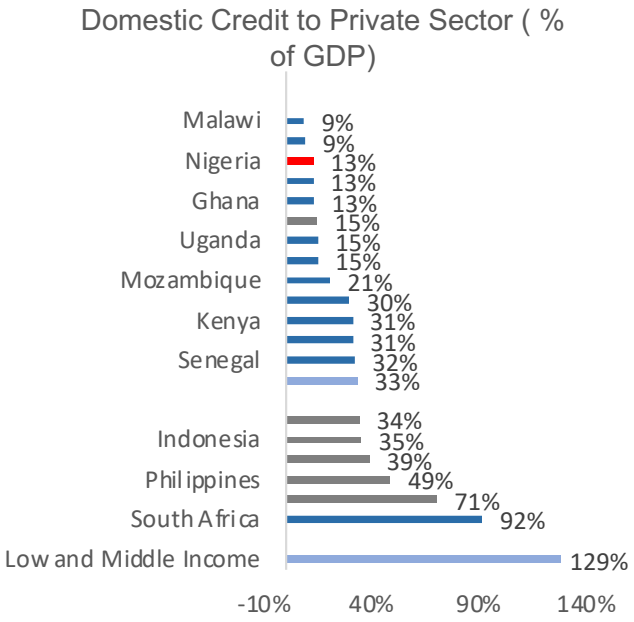
Another key input for new firms to enter markets and for existing firms to grow is capital, so improving access to credit is also key[18]. With low and oil sector-concentrated private investment, and meager public investment, Nigeria needs to better allocate its limited naira resources, as well as attract foreign capital and Nigerians' savings allocated in foreign assets. Domestically, credit to the private sector is much lower than peers, at 13 percent of GDP and only a small share of firms have access to

16 *For international evidence, see, for instance, Ghani, Goswami and Kerr (2016), Banerjee, Duflo and Qian (2020), and Bueno (2022)*

17 *See Nigeria Food Smart Country Diagnostic (2020)*

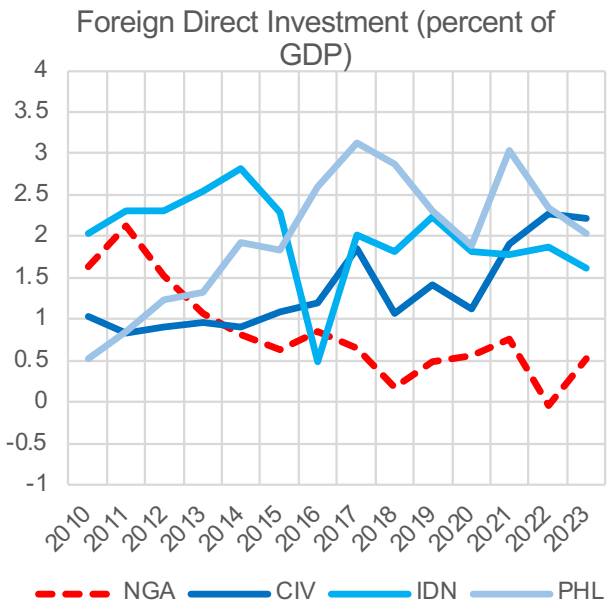
18 *See, for instance, Buera, Kaboski and Shin (2011)*

Figure 2.12: Domestic credit to the private sector is lower than peers…



Sources: WDI 2022

Figure 2.13: …while FDI is low and falling; increasing it would boost investment and innovation, and so, growth and jobs



Sources: WDI

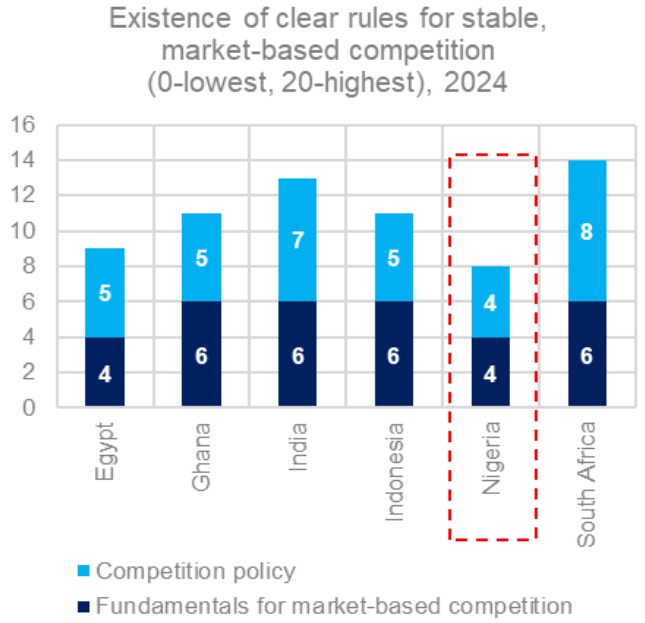
credit lines (Figure 2.12). Part of the solution is to continue with the macro-stabilizing policies, as these will lower inflation and hence the cost of credit, as well as free up capital to flow to the private sector instead of the government. In addition, regulatory improvements can help to enable credit to be provided in underserved market segments, notably micro- small- and medium-enterprises (MSMEs). These include revisions to the microfinance banks (MFBs), development finance institutions (DFIs), credit guarantee companies (CGCs), and Finance Companies (FC) guidelines. Introducing technology-enabled risk-based supervision whilst strengthening consumer protection mechanisms in the banking sector is also key. Fostering stronger partnerships between commercial banks and MFBs with FinTech companies will help to reduce risks and transaction costs through data and tailored solutions.

Furthermore, given Nigeria's large and significant informal private sector, the availability of credit risk rating schemes that generate data will help lenders make informed credit decisions. Such schemes will also encourage the broader MSME segment to get rated, thus opening up capital market opportunities, an untapped alternative source of finance.

To spur healthy competition, investment, and innovation, it is important for markets to be open to new entrants, and that firms face a level playing field and predictable government-to-business services[19]. Yet, policies and regulations to promote stable, market-based competition are significantly weaker in Nigeria than in peer countries (Figure 2.14). This calls for further institutional strengthening and independence of the competition authority (FCCPC). Effective implementation of the

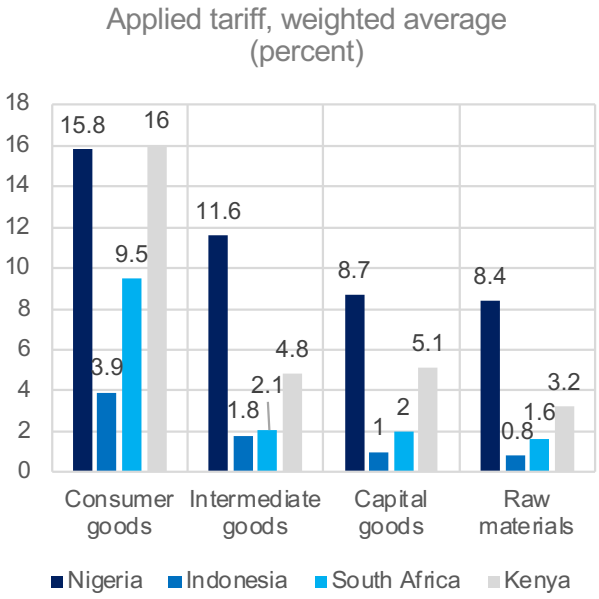
19 *For international evidence, see, for instance, Bertrand and Kramarz (2002), Arnold, Javorcik and Mattoo (2011), and Adalet McGowan, Andrews and Millot (2017).*

Figure 2.14: Businesses are shielded against competition…



Sources: BTI

Figure 2.15: … including from foreign firms, which also increase input prices



Sources: WDI

Business Facilitation Act (2022), which was signed into law in 2023, and similar efforts in the states, could help in the transparency and predictability of government-to-business services. Similarly, removing barriers for foreign firms to operate in Nigeria, such as the requirement to incorporate a domestic business, would stimulate entry and competition. Increasing foreign direct investment, currently lower than one percent, is crucial to tap into foreign savings, expertise, and technology, as well as to integrate to global value chains and create higher-quality jobs. Lifting restrictions for FDI has had positive impacts on investment in other countries, like India, Vietnam, and Indonesia.

The government should consider seizing the opportunity created by the market-reflective, competitive exchange rate, to reorient trade policy for growth and jobs. Nigeria maintains higher than average tariffs on many products, bans the imports of others, and imposes many non-tariff barriers. The average tariff rate in the country is twice as high as the sub-Saharan average (Figure 2.15). Yet, with the exchange rate now much higher, Nigerian firms should be able to more easily produce and compete with imports domestically, as well as exploit profitable export market opportunities. To produce more and export more competitively, Nigerian firms also need to import, including intermediate goods and services[20]. Reducing tariffs and import bans would confer direct benefits to consumers, giving them access to more products at lower prices, lowering inflationary pressure, boosting their purchasing power, and offering relief in the context of high cost of living pressures[21]. Import bans increase prices by an estimated 5.8 percent on average in Nigeria, particularly for products more intensely consumed by poorer households, such as food and medical products (Figure 2.16). Lifting import bans could lower poverty rates by estimated 2.6 pp. Similarly,

20 For international evidence, see, for instance, Amiti and Konings (2007) and Bustos (2011)
21 For international evidence, see, for instance, Porto (2006) and Arnold and Bueno (2018)

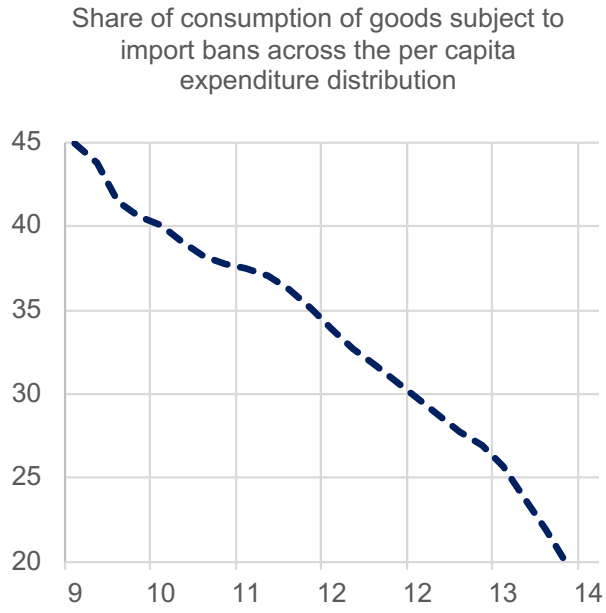
Nigeria applies large deviations from the ECOWAS common external tariffs (CET), including for many food products, increasing their prices by similar magnitudes (Figure 2.17). Finally, import bans and excessively high tariffs increase evasion (Figure 2.18 and Figure 2.19). Lifting them could increase current customs revenues by 66 percent, contributing to the ongoing fiscal adjustment.

In addition to trade policy, trade facilitation measures could help Nigerian firms access new markets, and help firms and consumers obtain products. Implementation of the National Single Window (NSW) can provide a new single point of contact for firms' international trade activities, which holds the promise of eliminating duplication, reducing costs by streamlining licenses, certificates and other permits, and reducing delays. Moreover, the requirement for mandatory pre-shipment export inspections could be re-evaluated. At Nigeria's air, land and sea borders, risk management and compliance-based criteria for conducting targeted inspections should be adopted. The removal of inter-state fees related to the movement of cargo is critical, as they are unnecessary and often result in illegal roadblocks. This could decrease the high cost of domestic trade and reduce delays in the inter-state movement of cargo.

Unleashing the potential of important sectors

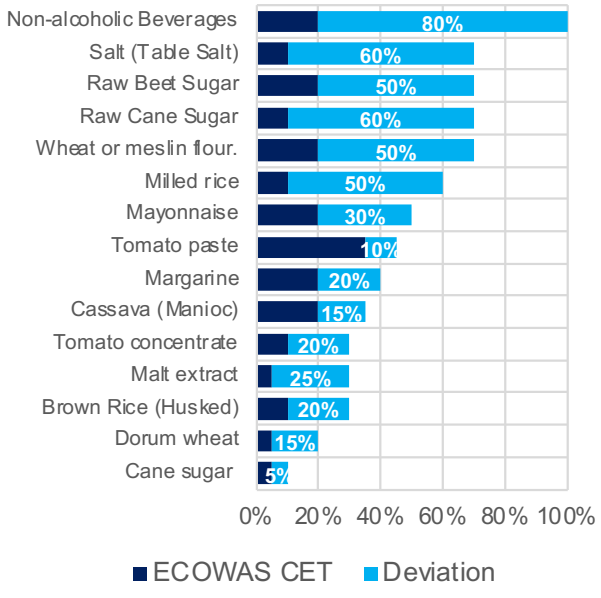
In general, governments have a poor record when it comes to "picking winners" and successfully predicting which firms and sectors will succeed. At present, Nigeria's public finances, though improving, also remain stretched, making it inadvisable to allocate scarce public resources towards supporting particular sectors. However, this does not mean that there is not a role for the public sector to play in bridging gaps in the operating framework of important

Figure 2.16:. Import bans increase prices by 5.8 percent on average and apply to products more intensely consumed by the poor



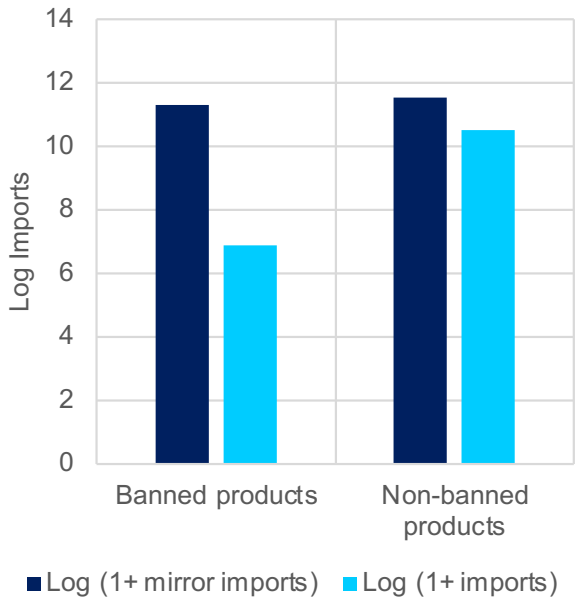
Sources: World Bank

Figure 2.17:. Tariff deviations from the ECOWAS CET are also particularly large and increase food prices



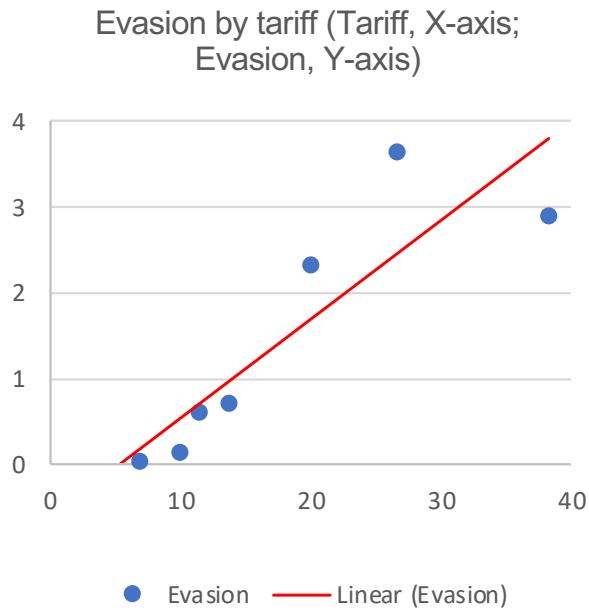
Sources: FMOF

Figure 2.18: Import bans also increase evasion, lowering customs revenues by at least 10 percent



Sources: World Bank

Figure 2.19: Similarly, goods subject to higher tariffs see more evasion, and removing these could increase customs revenues by 66 percent



Sources: World Bank

sectors, by improving sector-specific regulation, as well as by helping to overcome coordination and lack of information problems. Putting appropriate policies in place and effectively implementing them can unleash their potential.

Agriculture stands out as a sector where Nigeria has great productive potential, and where progress would be transformative in terms of creating better jobs at scale, as well as tapping external markets and diversifying from oil. The sector is also key to the urgent priority of addressing the high prevailing level of food insecurity in Nigeria.

To significantly increase productivity in agriculture, access to quality, critical inputs can be improved. The market for fertilizer, for example, is tightly regulated. Effective implementation of the National Fertilizer Quality Control Act (2019) and deregulation of the fertilizer sub-sector could reduce prices. Similarly, more could be done to improve the availability and quality of seeds, by investments in breeder seed production, seed multiplication, and the production of certified seeds, and by fostering a wide network of agri dealers. Rather than direct seed subsidization and distribution, the public sector could help to scale up the use of seed varieties that have already been developed by national and international research institutes, in partnership with the private sector. An important step in this direction would be to effectively implement the reforms envisaged under the National Agricultural Seed Council Act (2019).

Many of the economy-wide reforms discussed above would also be particularly beneficial to the agricultural sector. Priorities include reducing the high internal and external trade barriers, decreasing insecurity, improving access to connecting infrastructure (feeder roads, warehouses,

storage) and irrigation. To unlock access to finance for farmers and agribusinesses, a range of financial products, including working capital and longer-term finance for lumpy investments will be needed. Potential solutions include leveraging Agri-Tech and FinTech data, digital platforms, and contract farming; bridging information gaps with alternative data on farming yields, geo-localization, and digital payments; developing financing based on agriculture credit scoring; using securitization of agriculture assets; and developing instruments to derisk the agricultural production such as credit guarantee mechanisms, agriculture insurance, warehouse receipt finance.

It is also important to plug in coordination and information gaps for Nigerian producers. Public sector efforts to collectivize farmers by building strong farmer organizations and connecting them with private sector aggregators and processors across key value chains would be critical. Adopting standards and establishing regulations to ensure traceability and quality are priorities to safeguard and expand opportunities for farmers involved in the value chain for cocoa and other products. Similarly, rolling out digital farmer and farm registries in partnership with the private sector will not only help establish traceability of agro-food products, but could potentially also help farmers access satellite technologies for real-time weather, agronomic, and soil advisories.

Another growth-critical sector where there is a yawning gap between Nigeria's needs and current production is energy. On-grid electricity capacity of about 5,000MW is a small fraction of demand currently being met by expensive and polluting generators. The elimination of the PMS subsidy has for the first time confronted Nigeria with the actual, expensive cost of meeting electricity needs in this way, and opens a unique opportunity for investments to supply solar power, more efficient and clean. Mini grid permit caps could be increased from 1MW to 5MW, and regulations put in place to enable distributed and connected photovoltaic power.

Nigeria's economic performance can also be accelerated through digital services, building on already rapid growth in ICT. A National Digital Economy and E-governance Bill to set standards for electronic transactions (e.g. legal recognition of electronic signatures, including interoperability with international systems), digital records management, online consumer protection, and cross-border digital trade facilitation. Executing and monitoring the Designation and Protection of CNII Order, designating telecom networks as critical national infrastructure, could minimize incidents of vandalism, theft, and extortion. Legislative improvements could also include strengthening the Nigerian Communications Act to require NCC to conduct market analysis and enforce regulatory safeguards towards dominant operators, as well as adopting.

2.5 Reform implementation, starting with an inclusive growth plan

Having undertaken difficult macroeconomic reforms, Nigeria stands at a pivotal juncture where the potential for inclusive economic growth is within reach. By continuing to build an enabling public sector and undertaking additional reforms to spur structural transformation, Nigeria can create a more inclusive economy that generates jobs and opportunities, especially for the poorest. Maintaining sound macro-fiscal policies, spending better on development priorities, and creating a conducive environment for private sector development will be crucial. Table 2.2 lays out a summary of such a reform agenda to drive inclusive growth. Implementation of the inclusive growth agenda could be facilitated by

adopting a tangible growth plan, including specific actions and key milestones. As well as bridging the gap between the government's high aspirations and the need for near-term, concrete measures would clarify the path forward, boosting transparency and policy certainty, and thus also helping to build the confidence upon which increased private investment and higher growth relies.

The new direction of policies creates an opening for inclusive growth, and progress on the measures below will help to unleash the private sector. In addition, Nigeria will also need to make more progress in tackling governance challenges. The macroeconomic policy mix is now much more supportive of confidence and investment. The end of the opaque subsidies and arbitrage opportunities for connected parties created by the previous multiple exchange rate system should also help reorient the private sector towards productive economic activities. Nevertheless, existing and prospective firms still face a challenging operating environment, due to Nigeria's complex political economy and weaknesses in governance. For example, important areas of the economy exhibit signs that powerful interests are able to unfairly benefit from public resources, and influence decision-making. Regulatory uncertainty is high, partly due to these challenges as well as Nigeria's fractious politics and shifts in the balance of power. Nigeria will also need to overcome the pressures of competitive politics to ensure allocative efficiency of hard-won revenues. This means resisting budget padding and opaque allocations in favor of significantly increasing investment in the development of human capital through better access to quality education and health and institutionalizing social safety nets. The welcome increase in capital spending allocations must be accompanied by fiscal realism and efficient public investment management practices. In this sense, Nigeria has only just embarked on the path of growth through better economic management and use of its oil wealth; staying the course, and enhancing its systems of governance to enable the economy to flourish, will be a multi-year process.

Table 2.2: A reform agenda for inclusive growth in Nigeria

GOAL	RATIONALE	REFORMS
1. Building an Empowering Public Sector		
1.1. Improve macro-fiscal policy and institutions		
Consolidate monetary, trade, and FX policy reforms	Inflation is still high, hurting especially the poor, and weighing on consumption and investment	• Maintain a tight monetary policy stance until a sustained disinflation path is achieved • Further strengthen the monetary policy implementation framework • Phase out import bans and align tariffs to ECOWAS common external tariffs, beginning with food products • Implement the AfCFTA agreement and its protocols

GOAL	RATIONALE	REFORMS
Improve public finance management	Revenues are still low, constraining development spending	• Ensure that revenue gains from the removal of the PMS subsidy flow to the Federation • Launch and implement the tax E-invoicing system • Launch and implement a centralized risk-based tax audit selection system • Improve excise tax administration by implementing a track and trace system • Adopt a new framework for health taxes which raises the rates and strengthens excise administration • Reform the VAT regime • Reduce the cost of collection of revenue agencies
	Fiscal flows and the overall fiscal position remain opaque	• Publish reconciled monthly fiscal reports and quarterly budget implementation reports on time • Clear the backlog of audited financial statements for 2021-2023 • Publish raw FAAC data and documents from all agencies • Improve transparency in accounting for oil revenues by conducting a forensic audit of NNPCL, and adopting standardized reporting to FAAC
	Weak cash management reduces transparency and raises fiscal risks	• Ensure that all debt proceeds are directly transferred to the Consolidated Revenue Fund • Complete TSA implementation to establish a consolidated daily view of the fiscal position
	Debt management would benefit from being more transparent and predictable	• Institutionalize annual borrowing plans • Institutionalize a Liability Management Operations Framework • Publish quarterly debt reports and yearly DSAs

GOAL	RATIONALE	REFORMS
1.2. Spending better on development priorities: human capital, social protection, and infrastructure		
Improve human capital	Low spending and efficiency gaps on human capital development hinder Nigerians to fully realize their capabilities and escape poverty traps	• Shift spending towards spending on basic education, primary health care, nutrition, and infrastructure, while ensuring that spending efficiently translates into improved outcomes
Improve social protection	With more than half of the population below the poverty line, poor and economically insecure households need assistance to regain economic agency and cope with shocks	• Rapidly roll out the already initiated cash transfers • Reallocate a share of recent revenue gains to targeted social assistance • Make up-to-date social registries with verified digital identification the platform for targeting pro-poor social programs
Improve infrastructure	Enhancing infrastructure access and quality needs more and better public investment	• Move towards eliminating the electricity subsidy, whilst protecting poor households, to make room for investments in the sector • Strengthen Public Investment Management
2. Enabling Private Sector Development		
2.1. Providing a conducive environment and the incentives for business to grow and create jobs		
Facilitate private investment in infrastructure	Private sector participation in infrastructure provision is key to overcome fiscal constraints and improve investment efficiency	• Adopt a unified PPP legal and regulatory framework • Develop enabling regulations for distributed and connected PV generation • Increase the mini-grid permit cap from 1 MW to 5 MW
Increase business dynamism and investment	An unlevel playing field and barriers to foreign firms contribute to high market concentration and limited contestability, weakening the incentives to invest and create jobs	• Lift requirement for foreign firms to incorporate as Nigerian legal entities when entering the country • Implement the Business Facilitation Act (2022) • Strengthen capacity and independence of the competition authority (FCCPC)

GOAL	RATIONALE	REFORMS
Expand foreign market access	Limited access to large product and input markets restricts businesses' competitiveness and growth	• Remove mandatory pre-shipment inspections on exports • Implement the National Single Window and risk-based border management • Enhance the National Quality Infrastructure system
Increase access to finance	Access to finance to the private sector is low and hinders investment, including for MSMEs	• Update the regulatory and supervisory guidelines for MFBs, DFIs, CGCs, and FCs • Review the rules, requirements, timing and costs for listing on the stock exchange • Develop tailored financial instruments such as securitization of receivables, MSME debt funds and specialized bonds
2.2. Unleashing the potential of important sectors		
Modernize and Expand Agriculture	Agricultural productivity has declined, and the sector has not transitioned to off-farm agribusiness	• Ensure effective implementation of the reforms envisaged under the National Agricultural Seeds Council Act (2019) and the National Fertilizer Quality Control Act (2019) • Ensure that farmers, farmer organizations and the private sector are connected along value chains • Develop digital farmer and farm registries and increase certification capacity • mprove extension service delivery by scaling up both private sector and community driven models in addition to public sector extension • Foster stronger partnerships between commercial banks and MFBs with FinTech companies to reduce risks and transaction costs through data and tailored solutions

GOAL	RATIONALE	REFORMS
		• Following the cessation of CBN's development finance interventions, provide guidance to the financial industry on market-led agricultural credit and encourage the adoption of customized lending instruments for farmers and processors • Expand availability of risk sharing mechanisms to derisk and advance lending to farmers and agri-businesses
Develop the digital services industry	Digital services could increase productivity and raise incomes, especially with a young, English-proficient population	• Adopt a National Digital Economy and E-governance Bill • Lower investments costs and facilitate green field telecom infrastructure deployments through implementation of the National Economic Council (NEC) commitment to a maximum of N145 per meter rights of way (Row) fees on State level • Strengthen the Nigerian Communications Act to require NCC to conduct market analysis and enforce regulatory safeguards towards dominant operators • Execute and monitor the Designation and Protection of CNII Order, designating telecom networks as critical national infrastructure

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Annex 1: Nigeria Key Economic Indicators

	2021	2022	2023	2024e	2025f	2026f	2027f
Real Economy	**Annual percentage change, unless stated otherwise**						
GDP (current LCU, billions)	176,076	202,365	234,426	277,494	322,074	369,412	424,548
GDP per capita (US$)	1,984.7	2,140.4	1,612.6	808.8	820	856	910
Real GDP per capita growth	1.0	0.7	0.3	0.8	1.0	1.1	1.2
Real GDP Growth	3.6	3.3	2.9	3.4	3.6	3.7	3.8
Agriculture	2.1	1.9	1.1	1.2	1.6	1.8	2.1
Industries	-0.5	-4.6	0.7	2.4	2.4	1.9	1.8
Industry - oil	-8.3	-19.2	-2.2	5.5	3.3	-0.6	-1.8
Industry - non-oil	4.4	3.3	2.0	1.2	2.0	2.9	3.3
Services	5.6	6.7	4.2	4.7	4.7	4.9	4.9
Prices	**Annual percentage change, unless stated otherwise**						
GDP deflator	10.1	11.3	12.6	14.5	12.0	10.6	10.7
CPI Inflation (yearly average)[1]	10.4	12.2	17.9	26.6	22.1	18.5	15.9
Oil Price (Bonny light, US$/bbl)	65.5	104.6	85.2	84.8	60.0	65.0	67.0
Exchange Rate (avg, N/$)	410.3	428.2	644.7	1,490.0	..	..	..
Fiscal Accounts	**Percent of GDP, unless stated otherwise**						
Revenues	6.4	6.6	7.2	11.5	11.5	13.0	12.8
Expenditures	12.6	11.1	12.6	14.5	15.9	16.3	15.8
Primary fiscal balance	-3.6	-1.4	-2.0	0.2	-0.7	0.3	-0.1
Overall fiscal balance	-6.3	-4.4	-5.4	-3.0	-4.5	-3.3	-3.0
Public debt	33.5	35.0	45.0	53.2	55.1	54.0	52.4
External debt	9.9	9.3	16.3	26.3	28.5	32.1	34.7
Domestic debt	23.6	25.8	28.7	26.9	26.6	21.9	17.8
Public debt with arrears[2]	39.0	40.4	49.6	57.9	59.2	57.5	55.5
Balance of payments	**Percent of GDP, unless stated otherwise**						
Current account balance	-0.8	0.7	1.6	9.2	7.3	9.4	8.9
Trade balance	-3.9	-1.7	-1.4	-0.1	-4.0	-1.4	-1.3
Exports of goods and services	11.8	14.6	16.6	30.9	21.7	23.8	22.9
Imports of goods and services	-15.7	-16.3	-18.0	-31.0	-25.6	-25.2	-24.3
Primary income	-2.0	-2.2	-3.0	-3.6	-1.3	-1.1	-1.0
Secondary income	5.1	4.6	6.1	12.9	12.6	11.9	11.2
Net Foreign Direct Investment	1.2	-0.2	0.6	0.8	0.8	0.6	0.7
Net Foreign Portfolio Investment	1.3	0.9	1.8	7.3	10.5	10.8	10.6
Gross Reserves (million US$, eop)	41,181	37,194	32,912	40,880	..	..	..
Gross Reserves (months of imports)	7.3	5.8	6.0	8.5	..	..	..

22 The CPI series reflects World Bank calculations on the back-casted series following CPI rebasing by the NBS.

23 The arrears include electricity subsidy arrears, AMCON liabilities and explicit guarantees.

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